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No.

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In the Supreme Court of the United States

OCTOBER TERM, 1994

OKLAHOMA TAX COMMISSION,

Petitioner

v.

CHICKASAW NATION,

Respondent

**Petition for a Writ of Certiorari to
the United States Court of Appeals
for the Tenth Circuit**

PETITION FOR A WRIT OF CERTIORARI

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QUESTIONS PRESENTED

1. Whether principles of federal pre-emption or Indian sovereignty preclude a State from imposing a tax on motor fuel sold by an Indian tribe, when the fuel is purchased in substantial part by non-Indians or non-members of the tribe, and the fuel is used outside of Indian country on roads constructed and maintained by the State.

2. Whether the legal incidence of Oklahoma's tax on motor fuel falls upon the ultimate purchaser of the fuel.

3. Whether federal law precludes state taxation of the income of Indians who work on tribal trust lands but live outside of Indian country.

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OPINIONS BELOW

The opinion of the court of appeals (App., *infra*, 1a-31a) is reported at 31 F.3d 964. The opinion of the district court (App., *infra*, 32a-38a) is unreported.

JURISDICTION

The judgment of the court of appeals was entered on July 29, 1994. The jurisdiction of this Court is invoked under 28 U.S.C. § 1254(1).

STATUTES INVOLVED

Relevant portions of Okla. Stat., Tit. 68, Art. 5, and of the Treaty With the Chocktaw, Sept. 27, 1830, 7 Stat. 333, are reprinted at App., *infra*, 39a-43a.

STATEMENT

The court of appeals' decision in this case imposes an extraordinary restriction on state taxing authority. The court held that imposition of a state tax on motor fuel sold by an Indian tribe is precluded by principles of federal pre-emption and Indian sovereignty — even though the fuel is sold to non-Indians, and is used outside of Indian country on roads constructed and maintained by the State. The court also held that federal law precludes the imposition of a state income tax on tribal members who are employed on tribal trust lands but who live outside of Indian country. These holdings impose a significant burden on the States, depart from the decisions of this Court, and sow considerable confusion in an already complex and difficult area of the law. Further review therefore is warranted.

1. The State of Oklahoma imposes a tax “upon the sale of each and every gallon” of gasoline and diesel fuel sold within the State. Okla. Stat., Tit. 68, §§ 502, 502.1. See also *id.*, §§ 502.2, 502.3, 502.4, 502.5, 502.6, 502.7, 516, 520, 522, 522.1. The tax statute makes the distributors of the fuel “agent[s] of the state for the collection of the excise tax” (*id.* § 506) and requires them to pay the tax due on each gallon of fuel sold to retailers or others in Oklahoma (*id.* § 505), although “[t]he retailer’s wholesale price will include the motor fuel taxes which are in turn included in the retail price at the pump.” App. *infra*, 35a. The tax, imposed at the rate of \$.17 per gallon on gasoline and \$.14 per gallon on diesel fuel, is a significant source of revenue for Oklahoma, generating approximately \$320 million annually. See *id.* §§ §§ 502, 502.1, 502.2, 502.3, 502.4, 502.5, 506.2, 502.7, 520, 522, and 522.1. Over 70% of this revenue is deposited

in the State Transportation Fund for use in highway construction; most of the remainder is given to counties and municipalities for road maintenance. See *id.* §§ 504, 504.1, 518, 519, 523, 523.1.

2. Respondent ("the Tribe"), a federally recognized Indian tribe, owns and operates convenience stores on lands held in trust for it by the United States. These stores, which are open to the general public, sell motor fuel and other goods both to tribal members and to non-member customers. App., *infra*, 2a. While the State has exempted from tax fuel purchased by respondent for use in tribally owned vehicles (see *id.* at 35a), it has collected the tax on fuel obtained by respondent for resale at the Tribe's convenience stores.

Invoking principles of Indian sovereignty, respondent brought this suit against the Commission in 1991, seeking to enjoin collection of the tax "on *all* motor fuel it purchases for resale" (App., *infra*, 35a (emphasis added)) — including fuel sold to non-Indians for use on state roads lying outside of Indian country.¹ The United States District Court for the Eastern District of Oklahoma rejected respondent's claim. App., *infra*, 35a-37a. The court began by noting that "[f]ederal law does not preempt the state motor fuel tax scheme," which meant that the Tribe could prevail only by "show[ing] that the motor fuel tax infringes on the right of tribal self-government." App., *infra*, 36a. On that issue, the district court explained that this Court's decisions "seek[] an accommodation between the interests of the Tribes and the Federal Government, on the one hand, and those of the State, on the other." *Ibid.*

In conducting that inquiry, the court made a series of factual findings:

¹ For the definition of Indian country, see *Oklahoma Tax Commission v. Sac and Fox Nation*, 113 S. Ct. 1985, 1991 (1993).

In Oklahoma the gasoline transported onto Indian country is for resale only and is used almost exclusively off of Indian country on State jurisdiction roads. * * *

Further, the Tribe does not construct or maintain roads and highways for the use of the general public in Oklahoma. The State of Oklahoma constructs and maintains 111,412.76 miles of streets, roads and highways in Oklahoma which is funded by the state tax on motor fuel. All of the road mileage maintained by the state is off Indian Country.

App., *infra*, 36a-37a.

Against this background, the court found that the tax exemption sought by respondent would serve principally to permit it "to market an exemption from state taxation to persons who would normally do their business elsewhere." App., *infra*, 37a, quoting *Washington v. Confederated Tribes of Colville Indian Reservation*, 447 U.S. 134, 155 (1980). In addition, because the motor fuel subject to tax is used almost exclusively on state roads maintained by Oklahoma outside Indian country, "the gasoline tax used to maintain these roads is directed at off-reservation value where the taxpayer is receiving State services, whether the taxpayer is a tribal member or not." *Ibid*. "In this context," the court concluded, "the patrons of tribal gas stations are properly subject to the State's motor fuel taxes." *Ibid*.

The court of appeals reversed, holding that the district court erred in two respects. App., *infra*, 12a-16a. First, the court of appeals concluded that the district court should have found the legal incidence of the tax to be on the retailer and therefore, in this case, on the Tribe. The court of appeals recognized that "the statutes do not expressly declare the legal incidence of the taxes to be on the retailer" (App., *infra*, 13a), and acknowledged that "it may well be that the tax is ultimately passed on to the consumer at the pump." *Id.* at 14a. But the court nevertheless relied on the observation that

"[t]he statutes nowhere require the amount of the tax to be included in the retail price at the pump, a requirement which we could interpret as imposing the tax on the consumer." *Id.* at 13a. The court also found that certain statutory provisions — in particular, those providing that distributors receive credits for tax remittances that cannot be collected from retailers — make the distributor "no more than a transmittal agent for the taxes imposed on the retailer." *Id.* at 14a.

In this setting, the court of appeals concluded that the district court also erred in rejecting respondent's claim that the motor fuel tax was displaced by principles of Indian sovereignty. The court of appeals reasoned that

[b]ecause they are directed toward funding traditional government activities, the taxes fall within the ambit of the sovereignty of the tribal government. * * *
Where the state action conflicts with a power within the traditional scope of Indian sovereign authority, preemption is presumed in the absence of an explicit statement of congressional intent to the contrary.

App., *infra*, 15a-16a. The court of appeals therefore held that "the district court's balancing of the respective tribal and state interests at stake was not relevant to the determination of the propriety of the fuel taxes"; it directed a grant of summary judgment in the Tribe's favor. *Id.* at 16a.

3. This case also involves a claim that the State cannot impose its income tax on persons who are employed by the Tribe on tribal trust lands. See App., *infra*, 33a. The district court found that claim controlled by the Tenth Circuit's decision in *Sac and Fox Nation v. Oklahoma Tax Comm'n*, 967 F.2d 1425 (10th Cir. 1992), and dismissed it as moot. App., *infra*, 38a. While the appeal in this case was pending, however, this Court vacated and remanded the Tenth Circuit's decision in *Sac and Fox* (see *Oklahoma Tax Comm'n v. Sac and Fox Nation*, 113 S. Ct. 1985 (1993)), and the

court below accordingly addressed the merits of respondent's claim.

The court of appeals first held that the State may impose the tax on tribal employees who are not members of the Tribe (App., *infra*, 21a-22a), but that the tax may not be applied to employees who are members of the Tribe and who live on the formal reservation or in Indian country. *Id.* at 23a-24a. In the portion of the holding at issue here, the court then held that the state may *not* tax the income of tribal members who are employed by the Tribe but who live *outside* of Indian country. Noting that this Court in *Sac and Fox* left open the question whether such persons are presumptively outside the scope of the State's taxing jurisdiction (*id.* at 25a, citing 113 S. Ct. at 1992), the court of appeals concluded that such a presumption should not apply. See *id.* at 26a.

The court nevertheless held, however, that state taxation of tribal members is expressly barred by the United States' treaty with the Chickasaw Nation. That treaty provides, in relevant part:

The Government and the people of the United States are hereby obliged to *secure to the said [Chickasaw] Nation of Red People the jurisdiction and government of all the persons and property that may be within their limits west, so that no Territory or State shall ever have [the] right to pass laws for the government of the [Chickasaw] Nation of Red People and their descendants*; and that no part of the land granted them shall ever be embraced in any territory or State; but the U.S. shall forever secure said [Chickasaw] Nation from, and against, all laws except such as from time to time may be enacted in their own National Councils, not inconsistent with the Constitution, Treaties, and Laws of the United States; and except such as may, and which have been enacted by Congress, to the extent that Congress under the Constitution are required to exercise a legislation over Indian Affairs.

Treaty of Sept. 27, 1830, 7 Stat. 333 (emphasis added).² The court concluded that "[t]he crucial question in determining the validity of the income tax under the relevant treaty language is * * * whether the law is one imposed on the Chickasaw Nation or its descendants. Residency is simply not relevant to this determination." App., *infra*, 30a. The court therefore held that Oklahoma's income tax may not be imposed "on the wages of Chickasaw members, earned on the reservation or in Indian country, regardless of the residence of those members." *Ibid.*³

REASONS FOR GRANTING THE PETITION

This case involves a "vexing" and "intricate" question (*Washington v. Confederated Tribes of the Colville Indian Reservation*, 447 U.S. 134, 138 (1980)) that "has occupied the Court many times in the recent past" (*Ramah Navajo School Board, Inc. v. Bureau of Revenue*, 458 U.S. 832, 847 (1982) (Rehnquist, J., dissenting)): how to "reconcile the plenary power of the States over residents within their borders with the semi-autonomous status of Indians living on tribal reservations.'" *Dept. of Taxation and Finance v.*

² The treaty actually was concluded with the Choctaw, but it is undisputed that a subsequent treaty made the Chickasaw the beneficiaries of the Choctaw agreement. See App., *infra*, 29a-30a & n.10. The United States reaffirmed the treaty in 1866, see Treaty with the Choctaw and Chickasaw of April 28, 1866, 14 Stat. 769, Art. 10, and again in 1871. 25 U.S.C. § 71.

³ The decision below also addressed challenges to two other Oklahoma taxes. The court of appeals upheld the validity of the State's tax on 3.2% beer sold in tribal stores. App., *infra*, 4a-12a. In addition, respondent contended that the State was improperly requiring the collection of sales tax on retail sales made to the Tribe; the State responded that it treated such sales as exempt from tax. Both the Tribe and the court accepted Oklahoma's statement of its policy as valid. *Id.* at 16a-19a.

Milhelm Attea & Bros., 114 S. Ct. 2028, 2035 (1994), quoting *McClanahan v. Arizona State Tax Comm'n*, 411 U.S. 164, 165 (1973). The court of appeals' answer to that question should not stand. The approach taken by the court below significantly, and improperly, diminishes the power of the States to raise revenue; it departs from this Court's precedents in the placement of the legal incidence of the challenged tax; and it threatens to cause enormous confusion about state authority in an area of great concern both to the States and to Indian tribes. Because only this Court can police the complex and competing sovereign interests at work here, further review of the decision below is in order.

I. OKLAHOMA'S FUEL TAX MAY BE APPLIED TO SALES BY THE TRIBE

A. Fuel That Is Sold By A Tribe To Non-Members And That Is Used On State Roads Is Subject To Tax

At the outset, the nature of the fuel tax that was invalidated by the court below bears emphasis. The economic burden of the tax plainly falls upon the ultimate consumer of fuel, as the court of appeals itself understood; the court acknowledged that "it may well be that the tax is ultimately passed on to the consumer at the pump." App., *infra*, 14a. The purchasers bearing that burden are, in substantial part, *non-Indians* or *non-members* of the Tribe. The motor fuel subject to tax is, in large measure, used *outside* of Indian country. And perhaps most significant, the tax revenues are used to defray the costs (of road construction and maintenance) imposed upon the *State* — and *only* upon the State — by the use of that fuel.

In nevertheless invalidating the fuel tax, the court of appeals found a single consideration dispositive. It concluded that the legal incidence of the tax falls upon the retailer (and therefore, in this case, upon the Tribe), and proceeded to apply a *conclusive* presumption against the validity of such a

tax. We explain below that the court's placement of the levy's legal incidence was wrong. But even granting for the moment that the legal incidence of the tax does fall upon the Tribe, the decision below plainly departed from this Court's precedents: it elevated form over substance, wholly disregarded the State's weighty interest in taxing the recipients of state services, and imposed a dramatic restriction on state taxing authority. It should be set aside by this Court.

1. While the court of appeals resolved this case through application of a dispositive presumption, as a general matter "there is no rigid rule by which to resolve the question whether a particular state law may be applied to an Indian reservation or to tribal members." *White Mountain Apache Tribe v. Bracker*, 448 U.S. 136, 142 (1980). "Instead, [the Court] ha[s] applied a flexible pre-emption analysis sensitive to the particular facts and legislation involved. Each case 'requires a particularized examination of the relevant state, federal, and tribal interests.'" *Cotton Petroleum Corp. v. New Mexico*, 490 U.S. 163, 176 (1989) (citation omitted). As the Court explained just last Term,

Resolution of conflicts of this kind does not depend on "rigid rule[s]" nor on "mechanical or absolute conceptions of state or tribal sovereignty," but instead on a "particularized inquiry into the nature of the state, federal, and tribal interests at stake, an inquiry designed to determine whether, in the specific context, the exercise of state authority would violate federal law."

Milhelm Attea, 114 S. Ct. at 2035 (citation omitted).

In conducting this inquiry, "[c]ongressional authority and the "semi-independent position" of Indian tribes * * * [are] two independent but related barriers to the assertion of state regulatory authority over tribal reservations and members.'" *Rice v. Rehner*, 463 U.S. 713, 718 (1983) (citations omitted). Thus, "state authority may be pre-empted by federal law, or it may interfere with the tribe's ability to

exercise its sovereign functions." *Ramah Navajo*, 458 U.S. at 837.⁴ On the tribe's side of this equation, the Court considers whether application of state law on tribal lands "would interfere with reservation self-government." *Rice*, 463 U.S. at 718, quoting *Mescalero Apache Tribe v. Jones*, 411 U.S. 145, 148 (1973). At the same time, the Court has "recognized that 'any applicable regulatory interest of the State must be given weight.'" *Id.* at 719.

The Court has followed this approach in assessing the validity of at least some aspects of state taxation. It is clear, for example, that the principle of Indian sovereignty does not preclude imposition of state taxes that fall on an Indian tribe for "tribal activities conducted outside the reservation." *Mescalero Apache*, 411 U.S. at 148. See *Colville*, 447 U.S. at 163-164. Even as to activities taking place on reservation or trust lands, it also is plain that "sales to persons other than reservation Indians * * * are legitimately subject to state taxation." *Milhelm Attea*, 114 S. Ct. at 2031. And so far as such transactions are concerned, the Court has held repeatedly that States may exercise their authority directly against tribes

⁴ "The trend has been away from the idea of inherent Indian sovereignty as a bar to state jurisdiction and toward reliance on federal pre-emption. * * * The modern cases thus tend to avoid reliance on platonic notions of Indian sovereignty and to look instead to the applicable treaties and statutes which define the limits of state power." *McClanahan*, 411 U.S. at 172. See *Colville*, 447 U.S. at 178-179 (opinion of Rehnquist, J.). This distinction may not make much of a practical difference, however. Principles of Indian sovereignty "provide[] a backdrop against which the applicable treaties and federal statutes must be read" (*McClanahan*, 411 U.S. at 172); those principles accordingly give content to the unique preemption doctrine applied to state laws affecting Indians. See generally *Rice v. Rehner*, 463 U.S. 713, 718-719 (1983); *White Mountain Apache*, 448 U.S. at 143. Traditions of Indian sovereignty and the practicalities of Indian self-government therefore bear on the existence of preemption.

by requiring them to shoulder tax collection obligations on the States' behalf; States may "impose tax collection and book-keeping burdens on reservation retailers who are themselves enrolled tribal members, including stores operated by the tribes themselves." *Id.* at 2036. See *Oklahoma Tax Comm'n v. Citizen Band Potawatomi Indian Tribe*, 498 U.S. 505, 512, 513 (1991); *California State Board of Equalization v. Chemehuevi Indian Tribe*, 474 U.S. 9, 12 (1985) (per curiam); *Colville*, 447 U.S. at 151, 159; *Moe v. Confederated Salish and Kootenai Tribes*, 425 U.S. 463, 481-483 (1976).

2. a. To be sure, the Court has taken a more rigid approach where the full weight of state taxation has fallen directly upon the on-reservation activities of Indian tribes. The Court thus has characterized *McClanahan*, the seminal modern decision in the area, as holding that

even on reservations, state laws may be applied unless such application would interfere with reservation self-government or would impair a right granted or reserved by federal law. * * * Even so, in the special area of state taxation, absent cession of jurisdiction or other federal statutes permitting it, there has been no satisfactory authority for taxing *Indian reservation lands* or *Indian income* from activities carried on within the boundaries of the reservation.

Mescalero Apache, 411 U.S. at 148 (emphasis added). See *Moe*, 425 U.S. at 475-476.

The Court has applied this principle repeatedly to invalidate state taxes whose legal *and* economic incidence necessarily fell on tribal activities taking place in Indian country — for example, a state income tax on "a reservation Indian whose entire income derives from reservation sources" (*McClanahan*, 411 U.S. at 165), or a tax on a tribe's royalty interests in reservation oil and gas leases (*Montana v. Blackfeet Tribe of Indians*, 471 U.S. 759, 761 (1985)), or a tax on the sale of cigarettes on the reservation "to tribal

members for their own consumption." *Milhelm Attea*, 114 S. Ct. at 2031.⁵ These decisions followed from the notion of Indian sovereignty that underlies the Court's analysis in this area, for all of the challenged taxes infringed to some degree "on the right of reservation Indians to make their own laws and be ruled by them." *White Mountain Apache*, 448 U.S. at 142, quoting *Williams v. Lee*, 358 U.S. 217, 220 (1959). See *McClanahan*, 411 U.S. at 172. After all, a state tax on reservation sales by the Tribe to its members could "interfere with internal governance" (*Duro v. Reina*, 495 U.S. 676, 686 (1990)) by regulating the relationship between the tribal entity and individual members of the Tribe; direct taxation of a tribe's income could impose potentially ruinous liability and threaten to displace the mechanisms of tribal self-government.

But the rule against direct taxation of a tribe's on-reservation activities has never been stated in absolute terms. It is, instead, a "*presumption against jurisdiction*" (*Sac and Fox*, 113 S. Ct. at 1990 (emphasis added)) under which "Indian tribes and individuals *generally* are exempt from state taxation within their own territory." *Blackfeet Tribe*, 471 U.S. at 764 (emphasis added). See *White Mountain Apache*, 448 U.S. at 144 ("state law is *generally* inapplicable") (emphasis added); *Duro*, 495 U.S. at 686 ("[w]e have held that States may not impose *certain* taxes on transactions of tribal members on the reservation") (emphasis added). And *McClanahan*, the fountainhead of the Court's doctrine, stated its rule as applicable only to taxes on Indian *lands* or *income*.

⁵ See also *Sac and Fox*, 113 S. Ct. at 1990-1993 (income tax, and excise tax and registration fees on vehicles, imposed on Indians in Indian country); *Colville*, 447 U.S. at 162-164 (taxes on motor vehicles owned by tribes or their members); *Moe*, 425 U.S. at 480-481 (personal property tax on reservation property, license fee on Indian retailers doing business on the reservation, and tax on on-reservation sales of cigarettes by Indians to Indians).

b. So far as we are aware, this rule has *never* been applied to invalidate a state tax in the circumstances here: where the economic burden of the tax falls (as the court below acknowledged might well be the case) on purchasers who are *non-Indians* or *non-members* of the Tribe; where the State undeniably could impose the tax directly on those purchasers — and could, under *Milhelm Attea*, *Potawatomi*, *Colville*, and *Moe*, require the Tribe to collect and remit the tax; and where use of the product sold generates costs that are imposed entirely upon the *State*. Indeed, the Court has declared the rule against state taxation inapplicable in just such a situation, emphasizing that its holdings invalidating state levies on Indian income did not address claims “that the State could not tax that portion of the receipts attributable to on-reservation sales to non-Indians.” *Moe*, 425 U.S. at 482.⁶ See also *Colville*, 447 U.S. at 178 (opinion of Rehnquist, J.) (“[h]istorically this Court has found Indians to be exempt from taxes on Indian ownership and activity confined to the reservation *and not involving non-Indians*”) (emphasis added).⁷

⁶ The Court in *Moe* was addressing *Warren Trading Post Co. v. Arizona Tax Comm’n*, 380 U.S. 685 (1965), where the Court invalidated a state gross proceeds or income tax imposed on an on-reservation Indian trader. The Court noted that the “challenge to these [taxes] is limited to the State’s attempt to apply them to gross income from sales made on the reservation to reservation Indians.” *Id.* at 686 n.1. That was so even though the legal incidence of the tax on sales to *non-Indians* plainly fell on the Indian trader. The tax immunity of licensed Indian traders is generally equivalent to that of Indians themselves. See *Milhelm Attea*, 114 S. Ct. at 2036.

⁷ In *California v. Cabazon Band of Mission Indians*, 480 U.S. 202, 215 n.17 (1987), the Court observed in a footnote that “[i]n the special area of state taxation on Indian tribes and tribal members, we have adopted a *per se* rule. * * * Accordingly, it is unnecessary to rebalance these [state and tribal] interests in every

The reason is apparent. Requiring a tribe to remit a tax on sales to non-members, and that will be used to meet costs imposed on the State by use of the goods sold, in no sense imposes a "burden which frustrates tribal self-government." *Moe*, 425 U.S. at 483. To the contrary, it is difficult to see how such a tax has any bearing whatsoever on the tribes' ability "to control their own internal relations, and to preserve their own unique customs and social order." *Duro*, 495 U.S. at 685-686. The tax, moreover, does not fall upon any value generated by Indians on Indian land:

It is painfully apparent that the value marketed by the [retailers] to persons coming from outside is not generated on the reservation by activities in which the Tribes have a significant interest. * * * What the [retailers] offer these customers, and what is not available elsewhere, is solely an exemption from state taxation.

Colville, 447 U.S. at 155. And the Court has repeatedly "rejected the proposition that 'principles of federal Indian law, whether stated in terms of pre-emption, tribal self-government, or otherwise, authorize Indian tribes thus to market an exemption from state taxation to persons who would normally do their business elsewhere.'" *Milhelm Attea*, 114 S. Ct. at 2035, quoting *Colville*, 447 U.S. at 155.⁸

case." But *Cabazon Band*, which was not a case involving state taxation and which relied for its observation on *Blackfeet Tribe* and *McClanahan*, cannot be read as approving preemption of state law in the circumstances of this case.

⁸ After the decision below, the Tribe imposed its own tax on gasoline and diesel fuel that is roughly equivalent to that imposed by the State. See Tribal Law 11-011 (Aug. 11, 1994). That the Tribe is not now marketing its tax exemption by undercutting other retailers, however, does not mean that it — or Oklahoma's many other tribes — will not do so in the future. In any event, even if

At the same time, the State has a compelling interest in imposing the challenged tax, for the sale and use of motor fuel "has a significant impact beyond the limits of" Indian country. *Rice*, 463 U.S. at 724. It is the existence of state-funded public highways that makes possible the Tribe's sale of fuel, while the use of that fuel requires considerable expenditures for the maintenance and construction of state roads. "This particular 'spillover' effect is qualitatively different from any 'spillover' effect of income taxes or taxes on cigarettes. 'A State's regulatory interest will be particularly substantial if the State can point to off-reservation effects that necessitate state intervention.'" *Ibid.*, quoting *New Mexico v. Mescalero Apache Tribe*, 462 U.S. 324, 336 (1983). And here — in contrast to other cases in which state

the Tribe does not lower its prices, the tax exemption nevertheless is valuable only because it allows for imposition of a tribal tax that otherwise would not be feasible. See *Colville*, 447 U.S. at 154-159. Yet the State

does not infringe the right of reservation Indians "to make their own laws and be ruled by them," *Williams v. Lee*, 358 U.S. 217, 220 (1959), merely because the result of imposing its taxes will be to deprive the Tribes of revenues which they currently are receiving. The principle of tribal self-government, grounded in notions of inherent sovereignty and in congressional policies, seeks an accommodation between the interests of the Tribes and the Federal Government, on the one hand, and those of the State, on the other. * * * While the Tribes do have an interest in raising revenue for essential governmental programs, that interest is strongest when the revenues are derived from value generated on the reservation by activities involving the Tribes and when the taxpayer is the recipient of tribal services. The State also has a legitimate governmental interest in raising revenues, and that interest is likewise strongest when the tax is directed at off-reservation value and when the taxpayer is the recipient of state services.

Id. at 156-157.

taxes have been invalidated (see *White Mountain Apache*, 448 U.S. at 150) — the Tribe does *not* construct or maintain highways for the use of the general public; that burden falls entirely on the State.

As the district court found,

In Oklahoma the gasoline transported onto Indian country is for resale only and is used almost exclusively off of Indian country on State jurisdiction roads. * * *

Further, the Tribe does not construct or maintain roads and highways for the use of the general public in Oklahoma. The State of Oklahoma constructs and maintains 111,412.76 miles of streets, roads and highways in Oklahoma which is funded by the state tax on motor fuel. All of the road mileage maintained by the state is off Indian Country. Therefore, the gasoline tax used to maintain these roads is directed at off-reservation value where the taxpayer is receiving State services, whether the taxpayer is a tribal member or not.

App., *infra*, 36a-37a.

The court of appeals accordingly erred in holding that “the district court’s balancing of the respective tribal and state interests at stake was not relevant to the determination of the propriety of the fuel taxes.” App., *infra*, 16a. Instead, this is a proper case for application of a different principle:

“This Court has repeatedly said that tax exemptions are not granted by implication. ... It has applied that rule to taxing acts affecting Indians as to all others. ... If Congress intends to prevent the State of Oklahoma from levying a general non-discriminatory * * * tax applying alike to all its citizens, it should say so in plain words. Such a conclusion cannot rest on dubious inferences.”

Mescalero Apache, 411 U.S. at 156, quoting *Oklahoma Tax Comm'n v. United States*, 319 U.S. 598, 606-607 (1943).⁹

3. In these circumstances, the holding below, which invalidates the fuel tax simply because the legal incidence is said to fall on the Tribe, rests upon the most sterile formalism. It is indisputable, after all, that the State could accomplish precisely the same thing by declaring the tax to fall on the consumer and directing the Tribe to collect and remit the levy. In the court of appeals' view, then, "the only difference between" a constitutional tax and one that is invalid is "their names." *Sac and Fox*, 113 S. Ct. at 1993.

If this defect may be cured simply by declaring in the text of the tax statute that the legal incidence falls on the consumer, as the court below appeared to suggest (App. *infra*, 13a), its decision "has no relationship to economic realities. Rather it stands only as a trap for the unwary draftsman." *Complete Auto Transit, Inc. v. Brady*, 430 U.S. 274, 279 (1977). And as this case illustrates, the trap would be a significant one. The Oklahoma statute does not, after all, "expressly declare the legal incidence of the taxes to be on the retailer" (App., *infra*, 13a), and the State consistently has understood the incidence of the tax to fall on the consumer. That the court of appeals nevertheless found the incidence of the tax to rest on the Tribe — and that the Tribe is entitled to a tax exemption as a result — is sure to foment litigation, as other tribes across the country attempt to convert statutory ambiguities into tax immunities. The possibility that States could withdraw those exemptions after the fact by

⁹ While it thus is clear that the tax may be imposed on sales of fuel to non-members of the Tribe, it is our view that the tax could be imposed on sales made to members of the Tribe as well. The fuel they purchase will be used on state roads outside of Indian country; as the district court explained, all users of fuel — whether or not tribal members — therefore will be obtaining off-reservation services from the State.

changing the statutory language is not a complete solution to this problem, because Indian sovereign immunity would prevent recovery by the States of forgone tax revenues. See *Potawatomi*, 498 U.S. at 509-511.

If, on the other hand, the immunity conferred by the court of appeals cannot be eliminated with the stroke of a pen, the ultimate constitutionality of a State's tax regime would turn on "mere nomenclature." *Colville*, 447 U.S. at 163-164. This is so even though "[t]here is no economic consequence that follows necessarily from the use of * * * particular words, * * * and a focus on that formalism merely obscures the question whether the tax produces a forbidden effect." *Complete Auto*, 430 U.S. at 288. Such an approach could impose crippling burdens on state governments.

In either case, then, review plainly is in order. The decision below departs from this Court's clear holdings: "[t]here is of course no question that the Court has discarded the controlling significance of the label a State attaches to its taxes. A tax instead must be judged by its 'practical operation.'" *Colville*, 447 U.S. at 188 (opinion of Rehnquist, J.), quoting *Detroit v. Murray Corp.*, 355 U.S. 489 (1958).¹⁰ And the court of appeals' approach entirely

¹⁰ The Court has found the legal incidence of the tax to be controlling in one circumstance: when a state levy falls directly on the United States. That is because the Federal Government's immunity from state taxation "has taken on essentially symbolic importance, as the visible 'consequence of that [federal] supremacy which the constitution has declared.'" *United States v. New Mexico*, 455 U.S. 720, 735 (1982), quoting *McCulloch v. Maryland*, 17 U.S. (4 Wheat.) 316, 436 (1819). That rationale has no application to the relationship between States and Indian tribes, however. The United States, as the "suprem[e]" sovereign, is wholly immune from state regulation and taxation. In contrast, the rules of Indian sovereignty are adjusted to accommodate state interests. See pages 9-11, *supra*.

divorces Indian tax immunity from its rationale, leaving it as an engine for the destruction of the state fisc. This is a matter of the greatest significance to the States, for "[i]t is upon taxation that the several States chiefly rely to obtain the means to carry on their respective governments." *Dows v. City of Chicago*, 78 U.S. (11 Wall.) 108, 110 (1871).

4. As this discussion suggests, the issue here is of considerable practical importance. In the most immediate terms, the motor fuel tax is a very significant source of revenue for Oklahoma, producing more than \$300 million annually. Under the court of appeals' rule, the taxes forgone on sales by respondent — and by Oklahoma's 40 other tribes — would be substantial. But that will not be the extent of the State's loss; "marketing" of the tax exemption by the tribes will take business (and therefore taxable sales) from non-Indian retailers, further diminishing tax revenue. The amounts involved surely will be significant. Cf. *Milhelm Attea*, 114 S. Ct. at 2031 (purchases of untaxed cigarettes by non-Indians cost State \$65 million in annual revenue).¹¹

More broadly, the decision below threatens state taxing authority and creates great uncertainty in an area of enormous day-to-day concern to the States. That decision raises doubts about the validity of any tax that does not in terms declare its legal incidence. As we suggest above, it is sure to prompt litigation. Its express disregard of the functional concerns that underlie controlling concepts of Indian sovereignty and preemption — and its holding that the "state interests at stake" are simply irrelevant (App., *infra*, 16a) — departs

¹¹ This is a particular problem in Oklahoma because it is home to many tribes; in addition, the history of Oklahoma allotments means that Indian country is scattered helter skelter across the State, so that purchasers of fuel always are likely to be near an Indian retailer. See generally *Sac and Fox*, 113 S. Ct. at 1987, 1993; *Woodward v. De Graffenried*, 238 U.S. 284 (1915).

from the principles announced by this Court, sowing confusion in what already is a vexing area. Further review therefore is in order.

B. The Legal Incidence Of The Fuel Tax Falls Upon The Consumer

The decision below regarding the fuel tax should be set aside for another reason as well: the foundation for its holding — the conclusion that the legal incidence of the tax falls on the retailer — is incorrect. While that determination involves a matter of state law, the court of appeals' analysis departs from what this Court has held to be the proper approach in determining the legal incidence of state taxation. Because the decision below also disrupts administration of an essential component of the State's system of taxation, further review is warranted.

1. The court of appeals' holding that the legal incidence of the tax falls on the retailer turned largely on its analysis of a statutory provision indicating that taxes are remitted to the State by distributors "on behalf of a licensed retailer," and that a distributor that is unable to collect the tax from the retailer may deduct that amount from its future tax remittances. App., *infra*, 13a-14a, quoting Okla. Stat., Tit. 68, § 505C. But that provision suggests only that the legal incidence of the tax falls somewhere down the distribution chain from the distributor; it says nothing about whether that incidence comes to rest with the retailer rather than the consumer. And other statutory provisions make it clear that it *is* the consumer that bears the legal incidence of the tax. Thus, the basic definitional elements of the motor fuel tax code — which were wholly disregarded by the court below — refer to the requirement that "a distributor, dealer, or retailer * * * collect taxes levied by this act" (Okla. Stat., Tit. 68, § 501C (emphasis added)) — indicating that the obligation of both the distributor *and the retailer* is that of collecting the tax from someone further down the distribution chain.

This conclusion is confirmed by the exemption provisions of the tax code. Exemptions are granted to the *consumer* of fuel, and are passed *up* the distribution chain to the retailer and then to the distributor. This regime, which in certain circumstances releases the ultimate purchaser from its obligation to pay the fuel tax, must be understood as placing the incidence of the tax on that purchaser.

Thus, tax is not due on diesel fuel "used exclusively for purposes other than to operate motor vehicles on the public highways of this state" (Okla. Stat., Tit. 68, § 509.2A (1994)), and any person who places diesel fuel purchased under such an exemption "into the fuel tank of a motor vehicle for use in operating the motor vehicle on the public highways *shall be liable for the taxes.*" *Id.*, § 509.2C (emphasis added). Fuel purchased by a county, city, or town for use in its vehicles is exempt from tax "provided that if the diesel fuel is placed directly into the fuel supply tank or tanks of the motor vehicle by the supplier, certification must be made on the invoice and all such sales must be reported by the supplier on forms furnished by the Oklahoma Tax Commission." *Id.*, § 509.2(F). Similar exemptions are provided for fuel sold for use in passenger buses or coaches, by public school vehicles, by FFA or 4-H club trucks, or by volunteer fire departments. *Id.*, §§ 509.2E, 527. And "[e]very person actually engaged in farming in Oklahoma or in a state which borders the State of Oklahoma and buying motor fuel to be used for farm tractors or stationary engines * * * and used exclusively for agricultural purposes * * * may purchase such motor fuel *without paying the tax.*" *Id.* § 509(b) (emphasis added).¹² That these provisions relieve

¹² The court of appeals itself cited this provision for the proposition "that the tax is not imposed on the distributor." App., *infra*, 14a. We agree that the exemption does indeed stand for that proposition — and for the further proposition that the tax is imposed on the consumer.

the *consumer* of the burden of “paying the tax” makes clear that the consumer ordinarily bears that burden, and thus the legal incidence of the levy.

The court of appeals itself evidently acknowledged that its analysis of the statutory language was far from dispositive, premising its conclusion on the observation that the tax “statutes nowhere require the amount of the tax to be included in the retail price at the pump, a requirement which we could interpret as imposing the tax on the consumer.” App., *infra*, 13a. But a similar approach, which gave dispositive significance to the absence of “‘any ... *explicit* pass-through’ language,” already has been rejected by this Court. *Chemehuevi*, 474 U.S. at 10, quoting 757 F.2d 1047, 1056 (9th Cir. 1985) (emphasis added by the Court). In *Chemehuevi*, the Court held:

None of our cases has suggested that an express statement that the tax be passed on to the ultimate purchaser is necessary before a State may require a tribe to collect * * * taxes from non-Indian purchasers and remit the amounts of such tax to the State. Nor do our cases suggest that the only test for whether the legal incidence of such a tax falls on purchasers is whether the taxing statute contains an express “pass on and collect” provision.

474 U.S. at 11. Instead, a court is to apply “nothing more than a fair interpretation of the taxing statute as written and applied.” *Ibid.*¹³ The Tenth Circuit’s analysis of the motor fuel tax is not such a fair reading of the statute.

We recognize, of course, that this Court often is reluctant to review determinations made by courts of appeals regarding

¹³ The court below recognized this holding in connection with its analysis of *another* tax — Oklahoma’s levy on 3.2% beer. See App., *infra*, 9a.

the meaning or application of state law. But in the setting presented by this case, the Court has been vigilant in policing decisions that will disrupt the delicate and complex adjustments of sovereign power between States, Indian tribes, and the United States. That is particularly so when it is the validity of an essential state law that hangs in the balance. The Court in *Chemehuevi* thus set aside the judgment of a court of appeals in a case very similar to this one — and, indeed, found it appropriate to do so summarily. Moreover, as we have suggested, the approach to the legal incidence issue taken by the court below will encourage litigants to attempt to convert arguable ambiguities in state tax statutes into tax immunities. In these circumstances, this Court should set aside the decision below.

II. THE TREATY WITH THE CHICKASAW NATION DOES NOT PRECLUDE IMPOSITION OF OKLAHOMA'S INCOME TAX ON TRIBAL MEMBERS WHO LIVE OUTSIDE INDIAN COUNTRY

The challenge to the second tax at issue in this case concerns a question the Court left open in *Sac and Fox*: whether Oklahoma may impose its income tax on enrolled members of an Indian tribe who earn income on Indian trust lands but do not live either on the formal reservation or within the boundaries of Indian country. The court below, construing the treaty between the United States and the Chickasaw Nation, held the tax invalid. Because this decision is plainly wrong, bars the State from taxing a group of residents to whom it provides substantial services, and is based on an interpretation of language that is found in treaties with Indian tribes across the Nation, further review by this Court is warranted.

1. In *Sac and Fox*, this Court was faced with the question whether Indians living in Indian country (but not on the formal reservation) may be subjected to state income tax

for income earned on Indian trust lands. Although the Tenth Circuit had held that the presumption against state jurisdiction to tax arises whenever a tribal member earns income on trust lands, this Court rejected any approach that fails to take account of residence: "The residence of a tribal member is a significant component of the *McClanahan* presumption against state tax jurisdiction." 113 S. Ct. at 1991.

The Court proceeded to hold that tribal members who live in Indian country, like members who live on the reservation, are presumptively outside the state's taxing jurisdiction. 113 S. Ct. at 1991, 1993. The decision was based on the view that the tradition of tribal sovereignty — which undergirds the *McClanahan* presumption against state taxation of the income of Indians who live and work on the reservation — extends beyond the formal boundaries of the reservation to the "informal reservations, dependent Indian communities, and Indian allotments, whether restricted or held in trust by the United States," that comprise Indian country. *Ibid.*, citing 18 U.S.C. § 1151. But the Court did not reach the question whether pre-emption or sovereignty principles preclude the State from taxing "income earned from work performed by the Tribe itself when the employee does not reside in Indian country." 113 S. Ct. at 1992.

In this case, the court below purported to read *Sac and Fox* as merely extending the *presumption* against state tax jurisdiction to tribal members living in Indian country. App., *infra*, 24a-25a. The court went on to declare that no presumption of invalidity applies to state income taxes on Indians living outside Indian country, but that a state nevertheless may be prohibited from imposing such taxes if "the tribe [can] show that the tax is barred by one of the two independent barriers to the exercise of state jurisdiction over Indians, *i.e.* interference with reservation self-government or impairment of rights granted or reserved by federal law." App., *infra*, 26a-27a. While petitioner has no quarrel with this statement in the abstract, the court's construction of the

treaty with the Chickasaw — which it held to create such an independent bar to taxation — is insupportable.

2. The court below relied on Article IV of the treaty, which provides:

The Government and the people of the United States are hereby obliged to *secure to the said [Chickasaw] Nation of Red People the jurisdiction and government of all the persons and property that may be within their limits west, so that no Territory or State shall ever have [the] right to pass laws for the government of the [Chickasaw] Nation of Red People and their descendants*; and that no part of the land granted them shall ever be embraced in any territory or State; but the U.S. shall forever secure said [Chickasaw] Nation from, and against, all laws except such as from time to time may be enacted in their own National Councils, not inconsistent with the Constitution, Treaties, and Laws of the United States; and except such as may, and which have been enacted by Congress, to the extent that Congress under the Constitution are required to exercise a legislation over Indian Affairs.

Treaty of Sept. 27, 1830, 7 Stat. 333. The court focused in particular on the language providing that “no Territory or State shall ever have [the] right to pass laws for the government of the [Chickasaw] Nation,” and held that “[t]he crucial question in determining the validity” of Oklahoma’s tax is simply “whether the law is one imposed on the Chickasaw Nation or its descendants.” App. *infra*, 30a. Under this analysis, “[r]esidency is simply not relevant.” *Ibid*. All that matters is whether the law — although facially neutral as between Indians and non-Indians — is being applied to members of the Tribe.

In our view, this approach does violence to the plain terms of the treaty, which precludes the State from “pass[ing] laws for the *government* of the [Chickasaw Nation]” (emphasis added). In light of the *McClanahan* presumption,

this language may reasonably be read as barring state laws that regulate the affairs of tribal members, or that displace the mechanisms of tribal government, in Indian country. But it cannot fairly be stretched to proscribe a non-discriminatory state income tax imposed on persons living outside of Indian country, who receive from the State both a myriad of particular services and "[t]he intangible value of citizenship in an organized society." *Cotton Petroleum*, 490 U.S. at 189. One would not, after all, characterize a state income tax imposed on a federal employee who lives within the State's jurisdiction as a law passed "for the government of the United States."

That the holding below went too far is confirmed by the treaty language preceding that relied upon by the court of appeals. Read in context, the treaty provides that the "United States are hereby obliged to secure to the said [Chickasaw] Nation of Red People the jurisdiction and government of all persons and property *that may be within their limits west, so that* no Territory or State shall ever have the right to pass laws for the government of the [Chickasaw] Nation of Red People and their descendants" (emphasis added). This provides expressly that the agreement confers rights to the Tribe "within their limits" (what we would now call the reservation, trust land, or Indian country); the conferral of these rights "so that" state laws may not be passed for the Tribe makes clear that the treaty has effect only within Indian country.

It may be added that the tax here is not imposed upon the payment of funds *by* the tribal government in Indian country; it falls, instead, upon individual members of the Tribe who reside outside of Indian country. See *United States v. County of Fresno*, 429 U.S. 452, 461 n.9 (1977) ("The theory * * * that a tax on income is legally or economically a tax on its source, is no longer tenable") (citation omitted). By declaring that the residence of that tribal member "is simply not relevant" (App., *infra*, 30a), the court of appeals

therefore necessarily has held that tax immunity is an entitlement conferred upon individual Chickasaws. While the court purported not to resolve the question (see *id.* at 30a n.11), this rule would seem to preclude the imposition of Oklahoma's income tax on all Chickasaw Indians who live outside Indian country, not just those who derive their income from work on the reservation. Indeed, taken to the limits of its logic, the court's analysis would preclude the imposition of *any* state law on members of the Tribe — including all the other laws of Oklahoma and the laws of other states when Chickasaw Indians journey beyond the borders of Oklahoma. The parties to this treaty surely cannot have intended to provide Chickasaw Indians with a blanket exemption from all state law. But if that is not what the treaty means, the holding of the court below is insupportable.

Moreover, that holding cannot be reconciled with the usual rule that Indians are "subject to nondiscriminatory state law otherwise applicable to all citizens of the State" when they travel beyond the reservation boundaries. *Mescalero Apache*, 411 U.S. at 148-149. While that presumption may be overcome by "express federal law" (*ibid.*), the treaty language relied upon here hardly carries the necessary clarity. In fact, this Court has *never* found federal law sufficient to overcome the rule of *Mescalero Apache*. That is not surprising, for the interest of Indians in remaining "free from state jurisdiction and control" (*McClanahan*, 411 U.S. at 168) is most significant when "on-reservation conduct involving only Indians is at issue." *White Mountain Apache*, 448 U.S. at 144. See *Potawatomi*, 498 U.S. at 511.¹⁴

¹⁴ The court of appeals evidently found it significant that on-reservation Indian immunity from state regulation is stated more explicitly in the treaty with the Chickasaw than in the treaties addressed in *McClanahan* and *Sac and Fox*. See App., *infra*, 27a-28a. That observation, however, hardly supports the court's conclusion. The tax at issue in *McClanahan* was invalidated

3. The holding below, which grants tax immunity to a class of Oklahoma residents, is important in its own right. More broadly, it has national significance because language either identical to, or to the same effect as, that of the Chickasaw treaty recurs in treaties with tribes across the country. The 1832 treaty with the Creek, for example, provides that "[t]he Creek country west of the Mississippi shall be solemnly guarantied to the Creek Indians, nor shall any State or Territory ever have a right to pass laws for the government of such Indians, but they shall be allowed to govern themselves * * * ." Treaty of March 24, 1832, 7 Stat. 366, Art. XIV.¹⁵ The 1856 treaty with the Creek and Seminole provides that "[t]he United States do hereby, solemnly agree and bind themselves, that no State or Territory shall ever pass laws for the government of the Creek or Seminole tribes of Indians * * * ." ¹⁶ Many other treaties are written in similar terms, providing, for example, that Indian lands will never be within a State or Territory, "nor subject to the laws thereof." Treaty with the Seneca of July 20, 1831, 7 Stat. 351, Art. XI; Treaty with the Shawnee of Aug. 1, 1831, 7 Stat. 355, Art. X; Treaty with the Ottawa of Aug. 30, 1831, 7 Stat. 359, Art. IX.

The Tenth Circuit's expansive reading of the language in the treaty with the Chickasaw therefore provides fertile ground for challenges to state taxation. And because the

because it fell upon a *reservation* Indian and therefore was (needless to say) subject to the *McClanahan* presumption; the Court *left open* whether the tax at issue in *Sac and Fox* could be applied to Indians living outside of Indian country.

¹⁵ The obligations of this treaty were reaffirmed in 1866. See Treaty with the Creeks of June 14, 1866, 14 Stat. 785, Art. 12.

¹⁶ The United States' treaty obligations to the Seminole also were reaffirmed in 1866. See Treaty with the Seminole of March 21, 1866, 14 Stat. 755, Art. 9.

court's decision cannot logically be limited to Indians who derive their income from work performed within Indian country, the holding below provides a basis for precluding the imposition of state income (or other) taxes on *any* member of these tribes that lives outside Indian country, regardless of where the tribal member works. While the court below thus in terms declined to apply the *McClanahan* presumption to Indians living outside of Indian country, the effect of its decision was to confer a general tax immunity upon Indians. That decision should be set aside by this Court.

CONCLUSION

The petition for a writ of certiorari should be granted.

Respectfully submitted.

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OCTOBER 1994

APPENDIX

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APPENDIX A

PUBLISH

UNITED STATES COURT OF APPEALS
FOR THE TENTH CIRCUIT

CHICKASAW NATION,	)	
	)	
Plaintiff-Appellant,	)	
	)	
v.	)	
	)	
STATE OF OKLAHOMA ex rel.	)	
OKLAHOMA TAX COMMISSION,	)	No. 92-7117
ROBERT E. ANDERSON, CHAIRMAN	)	
OF THE TAX COMMISSION,	)	
ROBERT L. WADLEY, VICE-	)	
CHAIRMAN OF THE TAX	)	
COMMISSION, AND DON	)	
KILPATRICK, SECRETARY OF	)	
THE TAX COMMISSION,	)	
	)	
Defendants-Appellees.	)	

APPEAL FROM THE UNITED STATES
DISTRICT COURT FOR THE
EASTERN DISTRICT OF OKLAHOMA

(D.C. No. CV-91-310-NJ)

Bob Rabon of Rabon, Wolf & Rabon, Hugo, Oklahoma, for
Plaintiff-Appellant.

David Hudson, General Counsel (with David Allen Miley,
Assistant General Counsel, on the brief), Oklahoma Tax
Commission, Oklahoma City, Oklahoma, for Defendants-
Appellees.

Before ANDERSON, McKAY, and EBEL, Circuit Judges.

McKAY, Circuit Judge.

Appellant Chickasaw Nation ("Tribe" or "Chickasaw"), a federally recognized Indian tribe, challenged the State of Oklahoma's authority to impose certain taxes on sales, income, motor fuel and 3.2% beer to transactions occurring in Chickasaw Indian country. The case was submitted to the district court upon stipulated facts on cross motions for summary judgment. The Chickasaw appeal from the district court's grant of summary judgment on each of the issues in favor of the State of Oklahoma and from that court's denial of the Chickasaw's cross-motion for summary judgment.

I. FACTS

In submitting the case to the district court for rulings on the cross-motions for summary judgment, the parties stipulated, *inter alia*, that

B. plaintiff [the Tribe] owns and operates retail sales outlets on lands held in trust for it by the United States on which it sells tobacco products, motor fuel, beer and other goods. It does not collect sales taxes on its sales to tribal or non-tribal members but is required to pay sales taxes on motor fuel products and beer when it purchases them from its wholesale vendors at said retail locations. Defendants [the State] impose sales taxes on retail purchases of goods made by plaintiff where defendants contend such goods are used for "proprietary" as opposed to "governmental" purposes and when defendant contends the goods are purchased for resale to non-tribal members.

C. plaintiff has approximately 275 tribal member and non-tribal member employees who earn their wages on

tribal trust lands. Defendants are collecting state income taxes on the earnings of said employees.

(Amended Pre-Trial Order at 2-3, Appellant's App. Doc. 11.)

We review the grant or denial of summary judgment *de novo*, applying the same legal standard used by the district court. *Applied Genetics Int'l, Inc. v. First Affiliated Sec., Inc.*, 912 F.2d 1238, 1241 (10th Cir. 1990). We view the record in the light most favorable to the party opposing the grant of summary judgment, here, the Tribe, to determine whether there is any genuine issue of material fact remaining for trial. *Russillo v. Scarborough*, 935 F.2d 1167, 1170 (10th Cir. 1991); *Deepwater Invs., Ltd. v. Jackson Hole Ski Corp.*, 938 F.2d 1105, 1110 (10th Cir. 1991).

In their Amended Joint pretrial Order, the parties stipulated that the sole issues of "fact" remaining to be litigated were as follows:

A. The Chickasaw Nation is beneficiary to treaties with the United States which agree that no state may pass laws for it. (Defendant contends that this is a question of law and not an issue of fact.)

B. Defendants have attempted to and are imposing state tax laws on the plaintiff tribal government and its constituents [sic] in violation of said treaties, congressional enactments and federal policy. Such conduct by the defendant is preempted by federal law and infringes on plaintiff's right to self government and frustrates federal policy. (Defendant contends that this is a question of law and not an issue of fact.)

(Amended Pre-Trial Order at 4). With respect to the first issue, the Chickasaw point to treaty language stating that "no territory or state shall ever have a right to pass laws for the

government of the [Chickasaw] or their descendants.”¹ The State responds that the treaties cited by the Chickasaw are not relevant because they were later abrogated by acts of Congress. The district court did not address the issue, finding that the taxes did not abridge the Tribe’s right of self government and thus did not violate the treaty language. We agree with the State that both the continuing viability of the treaties cited by the Chickasaw and the interpretations thereof are questions of law and not of fact. Turning to the second stipulated issue remaining for trial, we conclude that whether the taxes imposed by the State contravene the aforementioned treaties and are violative of the Chickasaws’ right to self-government is also a question of law rather than an issue of fact.

Accordingly, as the parties have stipulated to all of the facts before us, there can be no genuine issue of material fact remaining for litigation, and our review is limited to the question whether the substantive law was correctly applied. *Franks v. Nimmo*, 796 F.2d 1230, 1235 (10th Cir. 1986). We therefore review *de novo* the district court’s treatment of both of these issues and their impact on the four taxes in dispute in this case.

II. BEER TAX

The Chickasaw operate retail stores in which they sell 3.2% beer. This beer is purchased from wholesale distributors. Oklahoma law provides for a tax upon 3.2% beer, in the amount of \$11.25 per 31 gallons. 37 Okla. Stat. Ann. § 163.3 (West 1990). The district court concluded that the State of Oklahoma had a strong interest in regulating 3.2% beer and that under our holding in *Citizen Band Potawatomi v. Oklahoma Tax Com’n*, 975 F.2d 1459 (10th

¹ The treaty actually refers to the Choctaw Nation rather than the Chickasaw. However, the treaty provisions were later applied by Congress to the Chickasaw. *See supra* n.9.

Cir. 1992), this regulatory authority encompassed the power to tax the sale of such beer. The district court thus assumed that the power to tax is encompassed within the power to regulate. We first address this assumption.

In *Rice v. Rehner*, 463 U.S. 713 (1983), the Supreme Court faced the issue whether California could require a member of an Indian tribe who operated a general store on an Indian reservation, in which she sold alcoholic beverages, to obtain a state liquor license. The Court set out a two-part test to determine when state regulation of activities in Indian country is preempted. *Id.* at 718. Such preemption occurs when application of state law: 1) "would interfere with reservation self-government," or 2) "would impair a right granted or reserved by federal law." *Id.* (quoting *Mescalero Apache Tribe v. Jones*, 411 U.S. 145, 148 (1973)). In determining whether application of state law would interfere with Indian self-government, the court must consider the tradition of Indian sovereignty. If there is a tradition of Indian sovereignty in the area concerned, then an explicit statement from Congress providing that state law shall apply is usually required. *Id.* at 719-20. The *Rice* Court concluded that "tradition simply has not recognized a sovereign immunity or inherent authority in favor of liquor regulation by Indians." *Id.* at 722.

Turning to the second prong of the test, the Court considered whether the state liquor licensing provisions were preempted by federal law. The Court held that, in enacting 18 U.S.C. § 1161,² Congress intended to delegate both to the

² "The provisions of sections 1154, 1156, 3113, 3488, and 3669, of this title [barring introduction of alcoholic beverages into Indian country], shall not apply . . . to any act or transaction within any area of Indian country provided such act or transaction is in conformity both with the laws of the State in which such act or transaction occurs and with an ordinance duly adopted by the tribe having jurisdiction over such area of Indian country. . . ." 18

states and to the tribes, its authority to regulate liquor transactions. *Id.* at 730-31. Accordingly, the Court held that section 1161 authorized state regulation rather than preempting it, and the state could properly require tribe members to obtain a state liquor license. *Id.* at 734.

In *Potawatomi*, this court held that the Supreme Court's reasoning in *Rice* was applicable to Oklahoma's licensing requirements with respect to 3.2% beer, notwithstanding the argument that such beer was not an "alcoholic beverage" within the scope of § 1161 because of the bifurcated Oklahoma regulatory scheme classifying such beer as a "nonintoxicating beverage." *Potawatomi*, 975 F.2d at 1462-64. We held that Congress in § 1161 had delegated the authority to regulate liquor, including 3.2% beer, and that Oklahoma had a "significant regulatory interest" in 3.2% beer despite its classification as a "nonintoxicating beverage." *Id.* at 1464.

The Tribe argues that, notwithstanding the Court's statements in *Rice* about the power to "regulate" liquor transactions, and notwithstanding this court's statements on that matter in *Potawatomi*, that power has nothing to do with the power to tax those transactions. We agree that the power to regulate does not automatically encompass the power to tax in all circumstances. However, "[t]he mere fact a statute raises revenue does not imprint upon it the characteristics of a law by which the taxing power is exercised." *American Petrofina Co. of Texas v. Nance*, 859 F.2d 840, 841 (10th Cir. 1988) (quoting *State ex rel. Tindal v. Block*, 717 F.2d 874, 887 (4th Cir. 1983), *cert. denied*, 465 U.S. 1080 (1984)). Likewise, we do not find the fact that the beer taxes are deposited into the general treasury of the State of Oklahoma, Okla. Stat. Ann. tit. 37, § 163.6 (1992), determinative of the issue. Where the taxation is an integral

part of the overall regulatory structure in a traditionally heavily regulated area, as opposed to a simple revenue measure, the tax may properly be considered to be regulatory and to fall within the regulatory authority. *See, e.g. Colville*, 447 U.S. at 158 (noting-that taxes may be used for regulatory purposes as well as for raising revenue). Such is the case here. Not only is the tax imposed on transactions involving a heavily regulated commodity, but the tax provisions themselves are contained within Title 37 of the Oklahoma Statutes, the portion of the Oklahoma Code establishing that regulation, rather than in the Revenue and Taxation Code contained in Title 68. The beer tax is thus clearly differentiated in the Oklahoma statutory structure from the sales, gasoline, and income taxes, which are included in Title 68. We therefore hold that the beer taxes at issue in this case are encompassed in the congressional delegation of authority to regulate the sale of alcohol in Indian country contained in 18 U.S.C. § 1161.

Moreover, even were we to conclude that the taxation of 3.2% beer is not part of the State's regulatory authority, we would conclude that the beer tax is valid because it is not a tax imposed on the Indian retailer. The statute provides that the following persons are liable for payment of the tax:

(a) Manufacturers. When the sale is made by a manufacturer, located and doing business in this state, to a wholesaler, located and doing business in this state, the tax shall be *paid by the wholesaler*.

...

(b) Wholesalers. When the sale is made by a wholesaler, located and doing business in this state, to a retail dealer located and doing business in this state, the tax shall be *paid by the wholesaler*. Such wholesalers may sell only to licensed retail dealers nonintoxicating beverages upon which the tax provided by this act *has first been paid by such wholesaler*.

When the sale is made by a wholesaler, located and doing business outside this state, and who has obtained an-Oklahoma wholesale beverage dealer's license, to a retail dealer located and doing business in this state, *the wholesaler shall be liable for and must pay* to the Tax Commission the beverage tax due on such sales. In the event of a retail dealer, doing business in this state, purchases beverage from a wholesaler doing business outside this state, and who does not have an Oklahoma wholesale beverage dealer's license, the retailer shall be liable for and must pay . . . the tax due on such sales. . . .

For the purpose of collecting and remitting the tax imposed under this act, the wholesaler collecting such tax is hereby declared to be the agent of the state for such purposes, and his failure to remit or pay such tax to the state, when due, shall constitute embezzlement, any such wholesaler, upon conviction, shall be punished as provided by law for the embezzlement of public funds.

(c) Retail Dealers. Retail dealers, where the out-of-state manufacturer or wholesaler has paid the tax under the provisions of this act, shall not be required to pay the tax. However, nothing in this act shall operate to relieve any retail dealer from payment of the tax where such retail dealer has at any time in his possession . . . nonintoxicating beverages upon which the tax has not been paid.

37 Okla. Stat. Ann. § 163.4 (West 1990 & Supp. 1994) (emphases added).

The Tribe argues that, since the statute does not explicitly provide that the legal incidence of the tax is on the consumer, as was the case in the cigarette tax considered in *Washington v. Confederated Tribes of Colville*, 447 U.S. 139 (1980), or on the wholesaler, the cases such as *Colville* upholding

cigarette taxes are inapplicable, and the tax must properly be seen as legally falling on the Indian retailers.

First, we observe that the Supreme Court has squarely rejected the idea that an explicit statutory mandate that the tax be "passed on and collected" is required in order to determine that the legal incidence of a tax does not fall on the Tribe. *California Bd. of Equalization v. Chemehuevi Tribe*, 474 U.S. 9, 11 (1986) (per curiam). Rather, the test to be derived from *Coleville* and analogous cases "is nothing more than a fair interpretation of the taxing statute as written and applied, without any requirement that pass-through provisions or collection requirements be 'explicitly stated.'" *Id.*; see also, *Colville*, 447. U.S. at 141-42 and n.9 (accepting conclusion that cigarette tax fell upon first event upon which tax can constitutionally be imposed, i.e. the sale to the consumer, despite lack of explicit statutory language imposing legal incidence of tax on consumer); *Indian Country, U.S.A. v. Oklahoma Tax Comm'n*, 829 F.2d 967, 984 (10th Cir. 1987) (accepting district court's conclusion that legal incidence of Oklahoma sales tax fell on consumer despite lack of explicit provision so providing), *cert. denied*, 487 U.S. 1218 (1988).

A fair interpretation of the beer tax at issue here establishes that the legal incidence of the tax is on the beer wholesaler, and not on the Indian retailer. As set forth above, the statute specifically provides that the wholesaler must pay the tax. The wholesaler is liable for the tax when it first purchases the beer from the manufacturer and when it sells the beer to the retailer. In addition, the statute provides that the wholesaler may only sell beer upon which the tax *has first been paid*. The triggering event for the payment of the tax thus occurs before the sale to the retailer.

The Tribe argues that the triggering event for the imposition of the tax is the actual sale of the beer by the wholesaler to the tribal retailer. This argument is based on

the statutory language stating that “[w]hen the sale is made by the wholesaler, . . . the tax shall be paid by the wholesaler.” 37 Okla. Stat. Ann. § 163.4(b) (emphasis added). According to the Tribe, since the trigger for the imposition of the tax is an event, *i.e.* the sale transaction itself, that occurs wholly in Indian country, the State has no jurisdiction to tax. This argument is dependent on an erroneous conception of the function of the word “when” in the statute. Contrary to the Tribe’s characterization, we believe the word does not carry a temporal connotation, but instead serves as a substitute for the phrase “in the event that.” Thus, the proper reading of the above-quoted language is “in the event that the sale is made by the wholesaler, . . . the tax shall be paid by the wholesaler.” This construction is consonant with the structure of § 163.4, which sets forth a series of potential transactions, indicating which entity is responsible for paying the tax in each example, and is the only construction that is compatible with the requirement that a wholesaler only sell beer upon which the tax has *first* been paid.³

³ We are aware that the statute does make retailers responsible for paying the tax in two circumstances—when the retailer purchases beverage from a wholesaler located outside the state who does not have an Oklahoma wholesaler’s license and who has not paid the tax, and in any other case where the retailer possesses beer upon which the wholesaler has not paid the tax. Okla. Stat. Ann. tit. 37, § 163.4(b)-(c). Neither situation is before us today. However, we note that the provisions of the statute making the retailer liable for the tax are evidently designed to give the retailer an incentive to ensure that the wholesaler has paid the tax, rather than to make the retailer primarily liable. Of course, in the event that the Tribe were to possess beer upon which the tax had not been paid, the Tribe’s sovereign immunity would prevent the state from suing the Tribe to recover the tax. See *Oklahoma State Tax Com’n v. Potawatomi Indian Tribe*, 111 S. Ct. 905, 912 (1991). Thus, inasmuch as the statute provides for the Tribe’s potential secondary liability, it is unenforceable. However, in light of the fact that the

The Tribe also points to the fact that the statute makes the wholesaler the agent of the state for purposes of "collecting" the tax as proof that the statute imposes the tax upon the retailer, *i.e.*, the Tribe, rather than upon the wholesaler. 37 Okla. Stat. Ann. § 163.4(b). After all, the Tribe argues, if the tax is "collected," it must be collected from someone, and that someone must be the retailer. We find this argument unpersuasive in light of the clear statutory language making the wholesaler liable for "paying" the tax. Rather, we conclude that the language making the wholesaler the state's agent for "collecting" the tax is intended to provide the theoretical basis for the remainder of that paragraph making the wholesaler liable for embezzlement of state funds in the event of a failure to remit the appropriate sums to the state.

Even if it were true that the economic burden of the tax falls on the Tribe because the wholesalers simply incorporate the tax into the wholesale cost, this would not be determinative of the question of the legal incidence of the tax. Just as a nondiscriminatory tax imposed on a private entity that does business with the United States and that passes the cost of that tax on to the United States does not violate federal sovereign immunity, *see South Carolina v. Baker*, 485 U.S. 505, 521 (1988) (quoting *Alabama v. King & Boozer*, 314 U.S. 1, 8-9 (1941)); *id.* at 523; *Memphis Bank & Trust Co. v. Garner*, 459 U.S. 392, 397 (1983), so a

Tribe is required to have a valid state license to sell beer and those licenses are conditioned on compliance with the relevant laws, we believe that the statutory prohibition on retailers having in their possession beer on which the tax has not been paid provides the state adequate power to enforce the tax provisions without being required to sue the Tribe to recover the tax. If the Tribe were to possess beer on which the wholesaler had not paid the tax, the Tribe's liquor license could be revoked. *See Oklahoma Stat. Ann. tit. 37, § 163.8; id. §163.11(I)(5)*

nondiscriminatory tax imposed on non-exempt private entities that do business with Indian tribes and that pass the cost of those taxes on to the tribes does not violate tribal sovereign immunity. See *Seneca-Cayuga Tribe v. State ex rel. Thompson*, 874 F.2d 709, 715 (10th Cir. 1989) ("It has long been settled law that retained tribal sovereign immunity is co-extensive with that of the United States.").

The Supreme Court has validated the states' authority to collect sales taxes from wholesalers where an Indian tribe refuses to collect those valid taxes from its sales to non-members, see *Oklahoma Tax Com'n v. Potawatomi Indian Tribe*, 498 U.S. 505, 514 (1991), despite the fact that such sales taxes are likely to be passed on to the retailer as part of the wholesale price. We conclude that the state may similarly impose a beverage tax upon wholesalers as an integral part of the overall regulatory scheme, despite the possibility that such tax might be included as part of the wholesale price of the beer.

Accordingly, since we hold as a matter of law that the Oklahoma tax on 3.2% beer is authorized as part of the regulatory authority granted by Congress to the states and because we hold that the tax is a tax upon the wholesaler rather than upon the retailer, there can be no conflict with the Tribe's right to self-government, and the district court properly granted summary judgment in favor of the state on this issue.

III. MOTOR FUEL TAX

Oklahoma law imposes several taxes on motor vehicle fuel, totaling sixteen cents per gallon. Okla. Stat. Ann. tit. 68, §§ 502, 502.2, 502.4, 502.6, 516, 520 & 522 (1992). Corresponding taxes are imposed on diesel fuel. *Id.* §§ 502.1, 502.3, 502.5, 502.7 & 522.1. The State exempts from these taxes fuel purchased by the tribe for use in tribally owned vehicles for tribal purposes. (Appellees' Br. at 10.) However, the State contends that when the Tribe purchases

fuel for resale at tribally owned gas stations, the tax must be paid. The Tribe argues that these taxes are imposed on the retailer, and consequently are void as direct taxes on the Tribe. The State responds that the taxes are passed on to the consumer in the retail price. The district court accepted the State's analysis as to the incidence of the taxes. The court then concluded that the taxes are not preempted by federal law, and passing to the second step of the analysis, concluded that the fuel taxes did not infringe on tribal sovereignty.

We believe that a fair reading of the statutes involved indicates that the district court erred in two respects. First, in concluding that the taxes were passed on through the retail price to the consumer, the district court substituted economic assumptions for the language of the statutes. The statutes nowhere require the amount of the tax to be included in the retail price at the pump, a requirement which we could interpret as imposing the tax on the consumer. *Cf. Okla. Stat. Ann. tit. 68, § 302* (cigarette tax to be included in price to consumer). While the statutes do not expressly declare the legal incidence of the taxes to be on the retailer either, we believe that is the clear import of the statutory language.

The statutes imposing the fuel taxes provide that "[t]here is hereby levied an excise tax of [varying amounts] per gallon upon the sale of each and every gallon of gasoline sold, or stored and distributed, or withdrawn from storage, within the state, for sale or use, to be reported and collected as provided by law" *See, e.g., id. § 502*. The tax remittance procedure indicates that the incidence of the tax is on the retailer. The statute requires the distributors to make monthly reports indicating the amount of fuel received and sold by the distributor, and to remit to the Tax Commission the amount of tax due. *Id. § 505(B)-(C)*. The statute goes on to provide that "[m]otor fuel taxes remitted by a distributor *on behalf of a licensed retailer* . . . that are subsequently determined to be uncollectible by the distributor may be credited against subsequent motor fuel tax liability imposed by law upon such

distributor.” *Id.* § 505(C) (emphasis added). Thus, unlike the beer taxes at issue above, the statutes imposing the motor fuel taxes explicitly state that the distributor must remit the tax on behalf of the retailer. Similarly, the statute provides that if the distributor pays the taxes and is subsequently unable to collect the money from the retailer, the distributor may deduct the uncollected amount from its future payments. The statute thus ensures that the distributor is not burdened with the tax. In the fuel tax scheme, the distributor is no more than a transmittal agent for the taxes imposed on the retailer.

Moreover, the exemptions provided in the fuel tax statutes also indicate that the tax is not imposed on the distributor. For example, the exemption for fuel purchased for agricultural use provides that “[e]very person actually engaged in farming . . . may purchase such motor fuel without paying the tax.” *Id.* § 509 (b) (emphasis added). The same section provides that the person involved in agriculture ar. claiming the exemption must apply for an exemption permit, which he must show to the distributor. *Id.* § 509(d)-(e). Similarly, § 505 of Title 68 gives the retailer the option of paying the tax due on all diesel fuel, or meeting the requirements to be considered a distributor. *Id.* § 505(E). Section 505 thus also indicates that the retailer is responsible for paying the tax.

We think it evident that the import of the language and the structure of the fuel tax statutes is that the distributor collects the tax from the retail purchaser of the fuel. While it may well be that the tax is ultimately passed on to the consumer at the pump, the question is whether the statutes in question legally impose the taxes on the Tribe. The question of who bears the ultimate economic burden of the tax is distinct from the question of on whom the tax has been imposed. See *White Mountain Apache*, 448 U.S. at 151 n.15; *Memphis Bank & Trust Co. v. Garner*, 459 U.S. 392, 397 (1983).

Having determined that the motor fuel taxes are legally imposed on the retailer rather than on the distributor or the consumer, we next confront the second error committed by the district court. The district court concluded that the motor fuel taxes were not federally preempted. This conclusion may have been based on the assumption that the statutes imposed the taxes on the consumer. However, since we conclude that the taxes are imposed on the retailer, we must consider the issue of preemption.

State activity is preempted by federal law when either of two independent barriers is present: if application of state law "would interfere with reservation self-government," or "would impair a right granted or reserved by federal law." *Rice*, 463 U.S. at 718 (quoting *Mescalero Apache Tribe v. Jones*, 411 U.S. 145, 148 (1973)). When determining whether application of state law would interfere with Indian self government, the court must consider the tradition of Indian sovereignty. If there is a tradition of Indian sovereignty in the area concerned, then preemption is presumed absent an explicit statement from Congress that state law shall apply. *Id.* at 719-20.

The activity with which we are here concerned is the taxation of motor fuel. Motor fuel, unlike alcoholic beverages, is not a traditionally heavily regulated commodity and the fuel taxes are not part of a comprehensive regulatory scheme. The fuel tax is a simple revenue raising measure of the sort commonly imposed by sovereign governments to fund their activities. Unlike the beer tax, the motor fuel taxes are contained in Title 68 of the Oklahoma statutes, the Revenue and Taxation Code. Here, the proceeds of the fuel tax go almost exclusively to the building and maintaining of highways in the state of Oklahoma, both within Indian country and without. This fact does not alter the nature of the fuel taxes as simple revenue measures. Because they are directed toward funding traditional government activities, the taxes fall within the ambit of the sovereignty of the tribal

government. Accordingly, the district court erred in concluding that imposition of the fuel tax on the tribal retailer was not preempted by federal law. Where the state action conflicts with a power within the traditional scope of Indian sovereign authority, preemption is presumed in the absence of an explicit statement of congressional intent to the contrary. *Rice*, 463 U.S. at 719-20. The state has directed our attention to no such explicit grant of congressional approval of the taxation scheme here at issue and we know of none.⁴ Because the presumption of preemption is an independent barrier to the exercise of state authority in Indian country, the district court erred in requiring the Tribe to show that the fuel taxes infringed on the right of tribal self-government. Consequently, the district court's balancing of the respective tribal and state interests at stake was not relevant to the determination of the propriety of the fuel taxes. We therefore hold as a matter of law that the district court erred in granting summary judgment in favor of the State on this issue. We reverse the grant of summary judgment in favor of the state and the district court's denial of the Tribe's motion for summary judgment. We direct the trial court to grant summary judgment in favor of the Tribe on the question of the imposition of the state motor fuel taxes on Indian retailers.

IV. SALES TAXES

The third tax contested by the Tribe in the district court was the 4.5 % Oklahoma sales tax codified at Okla. Stat. Ann. tit. 68, § 1354 (Supp. 1994). The Tribe objected that the

⁴ In *White Mountain Apache Tribe v. Bracker*, 448 U.S. 136, 151 n.16 (1980), the Supreme Court declined to reach the question whether Indian reservations might be encompassed by the Hayden-Cartwright Act, 4 U.S.C. § 104, which provides for the imposition of state fuel taxes "on United States military or other reservations." This issue was not raised before this court, and we express no opinion on it.

State was requiring retail dealers selling to the Tribe at retail to collect the sales tax from the Tribe. The district court granted summary judgment to the State. At oral argument, it became apparent that the sales tax dispute centered on a misconception engendered by a previous position of the Oklahoma State Tax Commission, which position has since been clarified. The State had furnished a letter clarifying its policy on this issue to the Oklahoma Gas and Electric Company in January, 1993. During oral argument counsel for the State indicated that the contents of that letter represented the current State position on the sales tax. The Tribe stated that it did not object to the current State policy, but argued that the State should be required to let retailers in the area know of the new sales tax policy. In light of this development at oral argument, we vacate the district court's grant of summary judgment in favor of the State on the question of the imposition of the sales tax, and we reprint *in haec verba* the contents of the letter explaining the current State position on the sales tax:

[I]t is the position of the Business Tax Division that sales to an Indian tribe are exempt from state and local sales taxes as outlined in the Division's exemption letter of January 21, 1988, which was provided to all federally-recognized Indian tribes in Oklahoma.

However, the 1988 letter indicates that the exemption is limited to purchases made by the Tribe for governmental use as opposed to business use. In order to clarify the Division's position, I will further outline the proper limits of the exemption as the Division understands them.

A tribe may purchase taxable goods and services exempt from sales taxes if the tribe purchases the item directly, makes payment for the purchase directly and if the tribe is the consumer/user of the item, whether the

item is used in tribal governmental offices or in a tribally-owned and operated business place.

Therefore, in order to be entitled to the exemption, the sale must satisfy the following requirements:

1. The sale must be made directly to the federally recognized Indian tribe.
2. Payment must be received directly from the tribe.
3. The tribe must be the consumer or user of the purchased good which is consumed or used within Indian Country.

In order to document these requirements your company should maintain the following records:

1. Invoices or statements of account should be billed to the tribe in its officially recognized name and mailed to the tribe.
2. Payment in the form of a bank draft should be drawn on an account owned by the tribe in its name.
3. The location at which the service is established should be owned and operated by the tribe on its Indian Country.

This exemption does not extend to individuals, corporations, partnerships, or other business or legal entities who are purchasing items which may be used on Indian Country and which are purchased ostensibly "for the Tribe" or for business ventures under tribal license or contract with private parties. The exemption only applies to transactions with a federally-recognized Indian tribe itself.

The exemption also does not extend to purchases of items which a tribe does not use itself, but which it intends to resell to the general public from a business

place on Indian Country for the purpose of marketing a tax exemption to those who would otherwise be required to pay sales taxes elsewhere.

(Appellant's Reply Br. Exh. A.) As the Tribe has no objection to the sales tax policy as expressed in the letter, we need not examine the matter further.⁵

IV. INCOME TAX

The final issue contested by the Tribe is the imposition of the Oklahoma state income tax on wages paid by the Tribe to persons employed by the Chickasaw Nation on tribal trust lands. The district court ruled this question moot in light of this court's holding in *Sac and Fox Nation v. Oklahoma Tax Comm'n*, 967 F.2d 1425 (10th Cir. 1992). In *Sac and Fox*, we held that, absent explicit congressional authorization, the state lacked jurisdiction to tax the income of tribal members earned on tribal reservations. In so holding, we relied on the Supreme Court's decision in *McClanahan v. Arizona State Tax Comm'n*, 411 U.S. 164 (1973), to conclude that the residency of the tribal member-employee was irrelevant to the question of immunity from the state income tax. *Sac and Fox*, 967 F.2d at 1428 n.3. The State filed a petition for certiorari before the Supreme Court on the issue of the applicability of

⁵ Much of the State's Brief on appeal treated the sales tax dispute as though it were based on the Tribe's objections to the State's decision to collect sales taxes from wholesalers selling to the Tribe for resale. The Tribe insisted in its Brief and in its Reply Brief that this was a misstatement of the issue. The Tribe explicitly denied any objection to the current State practice of collecting the sales tax from wholesalers selling to the Tribe for resale, reiterating that its sole objection was to the collection of sales taxes on retail purchases made by the Tribe. In light of the Tribe's characterization of the issue, we need not address the question of the State's requirement that wholesalers selling to the Tribe for resale pay the sales tax.

the income tax to employees who are enrolled members of the Tribe. The Sac and Fox also filed a petition for certiorari on the issue of the applicability of the income tax to non-member employees. The Supreme Court denied the petition of the Sac and Fox, 113 S. Ct. 466 (1992), and granted the State's petition. 113 S. Ct. 459 (1992). After the district court dismissed this final issue as moot, the Supreme Court vacated our decision in *Sac and Fox* as to the tribal member employees and remanded the case. 113 S. Ct. 1985 (1993). The Supreme Court held that while residency in Indian country was sufficient to invoke the *McClanahan* presumption against state jurisdiction to impose an income tax on the income of tribal members earned on tribal reservations, this court had erred in concluding that residency was irrelevant to the *McClanahan* analysis. *Id.* at 1991. The Court concluded that because all of the Indians in question might live in Indian country, there was no need to consider the question whether Indians not living in Indian country might also be outside the taxing jurisdiction of the state. *Id.* at 1992. The Court remanded the case for a determination of the residency of the Indians concerned. We further remanded the case to the district court for a residency determination. 7 F.3d 925 (10th Cir. 1993).

The Tribe conceded in its brief on appeal that, with respect to tribal member employees, this issue would be controlled by the Supreme Court's ultimate resolution in *Sac and Fox*, which had not been decided at the time the briefs were filed. At oral argument, the Tribe contended that despite the Supreme Court's holding in *Sac and Fox*, the specific treaties between the Chickasaw and the government of the United States barred the imposition of the state income tax on the wages of tribal members employed by tribal businesses, regardless of the residence of those members. The Tribe also asserted at oral argument that, notwithstanding the Supreme Court's decision in *Sac and Fox*, the State is barred by the relevant treaties from applying its income tax

to the income of non-members earned from their employment by tribal businesses on tribal lands.

We first address the validity of the income tax as applied to non-member employees. We hold that the question of the applicability of the Oklahoma income tax to the wages of non-members earned from employment on tribal lands is controlled by this court's decision in *Sac and Fox*. As we noted there, the Supreme Court has generally approved nondiscriminatory taxation of nonmember activities, "so long as such taxation does not conflict with relevant statutes or treaties or impermissibly interfere with a tribe's ability to govern itself." *Sac and Fox*, 967 F.2d at 1429. The Tribe does not contend that the income tax imposed on non-members in any way interferes with the Tribe's ability to self-govern. Instead, the Tribe relies on the treaty language that "no territory or state shall ever have a right to pass laws for the government of the [Chickasaw Nation] or their descendants" for the proposition that such taxation is barred. (Appellant's Br. at 11). We find this argument unpersuasive on two accounts. First, on its face, the treaty language prohibits the states only from passing laws governing the Tribe and its descendants, not non-members. It is settled that the income tax is imposed on the employee, not the employer: "The theory, which once won a qualified approval, that a tax on income is legally or economically a tax on its source, is no longer tenable." *United States v. County of Fresno*, 429 U.S. 452, 461 n.9 (1977) (quoting *Graves v. New York ex rel. O'Keefe*, 306 U.S. 466, 480 (1939)). Therefore, to the extent that the income tax is imposed on non-member employees who have no established claim to tribal ancestry, the tax does not infringe upon the treaty prohibition.⁶

⁶ The fact that the Tribe might be required to withhold and submit the tax does not constitute an unreasonable burden on the Tribe's ability to govern itself. *Colville*, 447 U.S. at 159-60; *Moe v. Confederated Salish & Kootenai Tribes*, 425 U.S. 463, 483

Second, the Supreme Court has rejected the proposition that the economic burden of the income tax is passed on through the employee to the employer in such a way as to interfere with the Tribe's right to govern itself so as to mandate holding the employees immune from the state income tax. *Id.* The purpose of tax immunity

was not to confer benefits on the employees by relieving them from contributing their share of the financial support of the other government, whose benefits they enjoy, or to give an advantage to a government by enabling it to engage employees at salaries lower than those paid for like services by other employers, public or private, but to prevent undue interference with the one government by imposing on it the tax burdens of the other.

Id. Since the income tax is not a tax on the source of the income, it does not impose any burden on the tribal government. While the Court in *County of Fresno* and in *Graves* was discussing the tax immunity of federal rather than tribal employees, this difference is not determinative, as "it has long been settled law that retained tribal sovereign immunity is co-extensive with that of the United States." *Seneca-Cayuga Tribe*, 874 F.2d at 715; see *Cotton Petroleum Corp. v. New Mexico*, 490 U.S. 163, 175 (1989). We accordingly hold that the Oklahoma income tax is valid as imposed on non-member employees of Chickasaw businesses on tribal land.⁷

(1976).

⁷ We need not decide whether, in the event that the Tribe were to impose its own income tax upon the salary of non-members employed in tribal businesses, such a tax would be entitled to the same treatment as the federal income tax under Okla. Stat. Ann. tit. 68, § 2358(D)(8), which provides for the deduction of the amount of such tax from the Oklahoma adjusted gross income for purposes

We now consider the question of the validity of the Oklahoma income tax as applied to tribal members earning income from tribal employment in Indian country. In *Sac and Fox*, the State of Oklahoma argued that the *McClanahan* presumption against state tax jurisdiction over Indians was limited to Indians living on the Sac and Fox reservation, and was not applicable to Indians living in Indian country. As noted above, this court in *Sac and Fox* disagreed and concluded that, under the rule of *McClanahan*, imposition of a state income tax on the income of tribal members earned from tribal employment in Indian country was presumptively barred regardless of the residence of the members, in the absence of express congressional authorization. The Supreme Court reversed and remanded, ruling that the residency of the tribal member was "a significant component of the *McClanahan* presumption against state tax jurisdiction," and that to the extent that this court had ruled without such a reference to residency, this court had erred. *Sac and Fox*, 113 S. Ct. at 1991. The Court held, however, that *McClanahan* was not limited to Indians living on a formal reservation, and that residency in Indian country was sufficient to invoke the *McClanahan* presumption against tax jurisdiction. *Id.* With respect to tribal members residing either on the formal reservation or in Indian country and earning income from tribal employment in Indian country, we think it clear that pursuant to *Sac and Fox* the rule of *McClanahan* continues to bar imposition of the state income tax.⁸

of calculating the Oklahoma income tax, or under any analogous provisions of state law.

⁸ We give no credence whatsoever to the State's argument that the "disestablishment" of the reservation allegedly incurred as a result of the Dawes Act of 1891 removed any bar to state taxing jurisdiction. The Supreme Court has thrice rejected this notion, twice when presented by the same litigant. See *Sac and Fox*, 113

We next turn to the somewhat more difficult question of the validity of the state income tax as applied to the income of tribal members employed by tribal businesses in Indian country, but who do not reside either on the formal reservation or in Indian country. The State contends that this issue is controlled by the Supreme Court's decision in *Sac and Fox*. Accordingly, the State argues that the bar to state tax jurisdiction is limited to Indians living on the reservation or in Indian country.

The State's position fundamentally misreads the Court's holding in *Sac and Fox*. In construing *Sac and Fox*, it is important to view the opinion in context. The Court in that case decided a limited question, namely, whether an Indian living in Indian country but not on the formal reservation was

S. Ct. at 1991; *Oklahoma Tax Comm'n v. Citizen Band Potawatomi Indian Tribe of Okla.*, 498 U.S. 505, 511 (1991); *Moe v. Confederated Salish & Kootenai Tribes*, 425 U.S. 463, 477-479 (1976). We assume, with all the dangers inherent in assumptions, that, sooner or later, the State will tire of presenting this argument. See *Sac and Fox*, 967 F.2d at 1428 n.2 ("It appears as though the State of Oklahoma persists in fighting a battle it has already lost."). See also *Indian Country, U.S.A. v. Oklahoma Tax Comm'n*, 829 F.2d 967, 975 n.3 (10th Cir. 1987), *cert. denied sub nom Oklahoma Tax Comm'n v. Muskogee Creek Nation*, 487 U.S. 1218 (1988) ("The State seems to believe that the Indian country status of the [reservation] rests on whether the exterior boundaries have been disestablished. It does not. . . . Tribal lands, trust lands, and certain allotted lands generally remain Indian country despite disestablishment."). Cf. *Hagen v. Utah*, 1994 U.S. LEXIS 1869 (Feb. 23, 1994). In *Hagen*, the Court concluded that the Uintah reservation had been "diminished" by various acts of Congress, and that therefore a town originally within the reservation was now outside the reservation and subject to state criminal jurisdiction. Notwithstanding the diminishment of the Uintah reservation in *Hagen*, there was no question but that the land within the diminished reservation retained its status as Indian country.

encompassed within the *McClanahan* presumption against state tax jurisdiction. As previously discussed, the Court rejected the State's contentions in *Sac and Fox* and held that such Indians were within the scope of *McClanahan*. The *Sac and Fox* Court did not address the question with which we are faced in this case. The Court did, however, indicate that Indians living outside Indian country but earning their salary from tribal employment in Indian country might nevertheless be outside the taxing jurisdiction of the state.⁹ *Id.* at 1992. Thus, the Court recognized that the issue in both *McClanahan* and *Sac and Fox* was the applicability of the *presumption* against state tax jurisdiction, rather than the ultimate determination of whether such jurisdiction existed. This question, which the Court left unresolved, is the issue before us today.

Consonant with the distinction between the presumption against tax jurisdiction and the ultimate question of the existence of such jurisdiction, the Supreme Court in *Sac and Fox* did not rule that the residency of the tribal members on the reservation or in Indian country was the controlling factor in the ultimate determination whether an income tax could validly be applied to the income of tribal members employed in Indian country. Rather, such residency is a "significant component" merely of the *presumption* against state tax jurisdiction, and residency in Indian country is sufficient to invoke the benefit of that presumption. *Sac and Fox*, 113 5. Ct. at 1991. To read the Court's decision in *Sac and Fox* as holding categorically that an Indian must live on the formal

⁹ While the Court made this statement with respect to the tribe's right to self-government rather than preemption by federal law, the latter argument was not raised in *Sac and Fox*. As the right to self-government and preemption by federal law are each independently sufficient bars to the application of state law, we do not believe that the Court's reference to the right to self-government in any way implies that federal preemption would not suffice.

reservation or in Indian country in order for taxation to be barred, one would have to ignore the plain meaning of the term "presumption," as well as the fact that the Court expressly acknowledged the possibility that such taxation might be barred even as applied to Indians not living on the formal reservation or in Indian country. *See id.* at 1992 (declining to decide whether taxation might be barred by tribe's right to self-government, independently of its territorial jurisdiction over Indian country); *cf. Mescalero Apache Tribe v. Jones*, 411 U.S. 145, 148 (1973) (distinguishing between state's lack of authority to tax income arising from activities *occurring on the reservation* and the power to tax income arising from activities off the reservation). Under such a view, rather than being a "significant component" of the presumption, residency on the reservation or in Indian country would be dispositive of the entire preemption determination. We do not believe such was the Supreme Court's intent. We therefore conclude that the proper interpretation of the Court's decisions in *Sac and Fox* and in *McClanahan* is that they merely establish a presumption in favor of Indians and against state tax jurisdiction over Indians living in Indian country and earning income from activities in Indian country. With respect to Indians living outside Indian country but earning income from activities within Indian country, that presumption does not exist. A lack of a presumption, however, is not equivalent to a determination that the state may impose its tax. Rather, the absence of the presumption merely affects the burden-shifting engendered by the presumption. In the absence of the presumption against state tax jurisdiction, the initial burden is no longer on the state to show that there has been an explicit congressional grant of authority to tax in order to overcome the presumption. Instead, where Indians living outside Indian country are concerned, the initial burden remains on the tribe to show that the tax is barred by one of the two independent barriers to the exercise of state jurisdiction over Indians, *i.e.*

interference with reservation self-government or impairment of rights granted or reserved by federal law.

While in *Sac and Fox* the tribe argued--and the Court refused to decide--that the tribe's right to self-government barred the tax, in this case the Chickasaw argue that the taxation is barred by the relevant treaties between the Tribe and the United States, which are, of course, federal law. Applying the rule set forth above, we now turn to the question whether, in the absence of the *McClanahan* presumption, the Tribe has met its burden of showing that the state income tax is preempted as applied to tribal member employees not residing in Indian country but earning their income from tribal employment in Indian country.

"The beginning of our analysis must be with the treaty which the United States Government entered with the [Chickasaw Nation]." *McClanahan*, 411 U.S. at 173-74. This analysis requires a particularized examination of the specific treaties involved in this case. In *McClanahan*, the Supreme Court construed the treaty between the United States and the Navajo Nation in 1868. That treaty provided for the setting aside of land "for the use and occupation of the Navajo tribe of Indians," and stated

that no persons except those herein so authorized to do, and except such officers, soldiers, agents, and employ[ee]s of the government, or of the Indians, as may be authorized to enter upon Indian reservations in discharge of duties imposed by law, or the orders of the President, shall ever be permitted to pass over, settle upon, or reside in, the territory described in this article.

Id. at 174. The Court noted that this language did not constitute an explicit statement that the Navajos were to be exempt from state law or state taxes. Nevertheless, applying the general rule that "[d]oubtful expressions are to be resolved in favor of" the Indians, *id.* (alteration in original) (citation omitted), the Court concluded that the state was

barred from imposing its income tax upon the Navajo members on income derived from employment on tribal lands. In so doing, the Court emphasized that the question before it was a narrow one: "whether the State may tax a *reservation Indian* for income earned exclusively on the reservation." *Id.* at 168 (emphasis added).

In light of the ambiguous language of the Navajo treaty and the narrow question before the Court in *McClanahan*, it is not unduly surprising that the Court in *Sac and Fox* declined to fashion from *McClanahan* a blanket exemption from state income taxation for all tribal members. This is especially true when one considers that the *Sac and Fox* Court was faced with treaty language even more ambiguous than that in *McClanahan*. The treaty between the United States and the Sac and Fox Tribe provided no more than that the land that the United States ceded to the Sac and Fox "shall remain the property of said Sac and Fox Nation, to the full extent that it is now the property of said Nation--subject only to the rights of the United States therein. . . . and subject to the rights, legal and equitable, of those persons that are now legally located thereon. . . ." *Sac and Fox*, 113 S. Ct. at 1988.

In stark contrast to the language in the treaties between the United States and the Navajo and the Sac and Fox, respectively, the language in the treaty between the Chickasaw and the United States is abundantly clear. Article IV of that treaty provides as follows:

The Government and the people of the United States are hereby obliged to secure to the said [Chickasaw] Nation of Red People the jurisdiction and government of all the persons and property that may be within their limits west, so that *no Territory or State shall ever have right to pass laws for the government of the [Chickasaw] Nation of Red People and their descendants*; and that no part of the land granted them shall ever be embraced in

any Territory or State; but *the U.S. shall forever secure said [Chickasaw] Nation from, and against all laws except such as from time to time may be enacted in their own National Councils, not inconsistent with the Constitution, Treaties, and Laws of the United States; and except such as may, and which have been enacted by Congress, to the extent that Congress under the Constitution are required to exercise a legislation over Indian Affairs.*

7 Stat. 333 (emphasis added).¹⁰ In 1866, the United States reaffirmed the above obligations, Stating that

[a]ll the rights, privileges, and immunities heretofore possessed by said nations or individuals thereof, or to which they were entitled under the treaties and legislation heretofore made and had in connection with them, shall be, and are hereby declared to be, in full force, so far as they are consistent with the provisions of this treaty.

Treaty of April 28, 1866, 14 Stat. 769, Art. XLV; *id.* Art. X. These obligations were again reaffirmed in 1871, which reaffirmation stands to this day. *See* 25 U.S.C.A. § 71 (West Supp. 1994). *See also* Oklahoma Enabling Act, § 1, 34 Stat. 267, 267-60 (1906) (“[N]othing contained in [the Oklahoma Constitution] shall be construed to limit or impair the rights of person or property pertaining to the Indians of said Territories”).

In comparison to the treaty at issue in the *Sac and Fox* case, the Chickasaw treaty explicitly provides that no state

¹⁰ The treaty actually refers to the Choctaw, rather than the Chickasaw. However, in 1837, the Choctaw consented to the formation of a district within their reservation for the Chickasaw, “to be held on the same terms that the Choctaws now hold it.” Treaty of January 17, 1837, 11 Stat. 573, Art. I. Thus, the Chickasaw became the beneficiaries of the above language referring to the Choctaw.

would ever be permitted to pass laws for the government of the Chickasaw or their descendants. The crucial question in determining the validity of the income tax under the relevant treaty language is therefore whether the law is one imposed on the Chickasaw Nation or its descendants. Residency is simply not relevant to this determination. We believe that, reading the treaty as the Indians would have understood it, and construing any ambiguities in the treaty language in favor of the Indians as we must, *see McClanahan*, 411 U.S. at 174, the specific treaty involved in this case preempts the imposition of the state income tax on the wages of Chickasaw members, earned on the reservation or in Indian country, regardless of the residence of those members. Accordingly, we hold that, consistent with the Supreme Court's decision in *Sac and Fox*, the Oklahoma income tax may not be imposed on the income of Chickasaw tribal members, earned from tribal enterprises on the reservation or in Indian country, regardless of whether the tribal member actually lives on the reservation or in Indian country.¹¹ We therefore vacate the district court's dismissal of this issue as moot, reinstate the claim, and direct the district court to grant summary judgment in favor of the Tribe on this issue.

V. CONCLUSION

To summarize, we AFFIRM the district court's grant of summary judgment in favor of the State on the issue of the imposition of the tax on 3.2% beer. We REVERSE the grant of summary judgment in favor of the State on the issue of the imposition of the state motor fuel taxes, and we direct the district court to GRANT summary judgment in favor of the Tribe on this issue. We VACATE the district court's grant of summary judgment in favor of the State on the issue of the

¹¹ In so holding, we do not suggest that the state may not impose its income tax on the income of tribal member employees earned outside Indian country. This issue is not before us.

sales taxes. With respect to the income taxes, we AFFIRM the district court's grant of summary judgment in favor of the State on the question of the imposition of the state income taxes on non-member employees of tribal businesses on Chickasaw Indian country. We VACATE the district court's dismissal as moot on the question of the imposition of the state income tax on the wages of tribal member employees earned from tribal employment in Indian country, and who live in Indian country, we REINSTATE the Tribe's claim on this issue, and we direct the district court to GRANT summary judgment in favor of the Tribe on this issue. We similarly VACATE the district court's dismissal as moot on the question of the taxation of the income of tribal member employees earned from tribal enterprises in Indian country, but who do not reside in Indian country. We also REINSTATE that claim, and we direct the district court to GRANT summary judgment in favor of the Tribe on that issue.

AFFIRMED in part, VACATED in part, REVERSED in part, and REMANDED with instructions.

APPENDIX B

IN THE UNITED STATES DISTRICT COURT FOR the
EASTERN DISTRICT OF OKLAHOMA

CHICKASAW NATION,	)	
	)	
Plaintiff,	)	
	)	
v.	)	
	)	
STATE OF OKLAHOMA ex rel.	)	No. 91-310-NJ
OKLAHOMA TAX COMMISSION,	)	
et al.,	)	
	)	
Defendants.	)	

ORDER

Now before the court for determination are cross-motions for summary judgment, as well as the responses and replies thereto. The instant case was stricken from the May 4, 1992, Non-jury Trial Docket upon stipulation of the parties that the case be decided upon the pleadings. The issues as framed in the Amended Joint Pretrial Order are as follows:

- (1) Whether defendants may lawfully impose state beer taxes on plaintiff by requiring the wholesale vendor to include such taxes in the price of beer sold to tribally owned retail outlets on tribal trust lands.
- (2) Whether defendants may lawfully impose state motor fuel taxes on plaintiff by requiring the wholesale vendor to include such taxes in the price of motor fuel sold to tribally owned retail outlets on tribal trust lands.
- (3) Whether defendants may lawfully impose state sales taxes on plaintiff on retail purchases it makes for tribal use from retail vendors.

(4) Whether persons employed by plaintiff on tribal trust lands must pay state income taxes on wages paid them by Plaintiff.

It is agreed by the parties that Plaintiff is a federally recognized tribe, and that Plaintiff owns and operates retail sales outlets on lands held in trust by the United States on which it sells tobacco products, motor fuel, beer and other goods. Plaintiff does not collect sales taxes on its sales to tribal or non-tribal members but is required to pay sales taxes on motor fuel products and beer when it purchases them from its wholesale vendors at said retail locations. Defendants impose sales taxes on retail purchases of goods made by Plaintiff where Defendants contend such goods are used for "proprietary" as opposed to "governmental" purposes and when Defendant contends the goods are purchased for resale to non-tribal members.

Beer Tax

The Tribe sells 3.2% beer, beer containing 3.2% alcohol by weight, at its convenience stores on tribal trust lands. Sales are made to tribal members and nonmembers. The State imposes a tax on 3.2% beer by requiring the wholesale beer distributors to include the beer tax in the wholesale price of the beer. The tax is passed on, through the retailer, to the ultimate consumer as a cost of the product which is included as part of the retail price. Okla. Stat. tit. 37, § 163.4 (1990).

The Tribe directly challenges the Commission's application of state law against the Tribe on its own territory, arguing that such application contravenes both federal law and Chickasaw treaty rights. Further, it is the Tribe's contention that if such laws can be applied, they are unlawful if they impact sales to tribal members and therefore, exemptions should be afforded the Tribe on sales to its tribal members. The Commission takes the position that the Tribe is obligated to comply with State beer laws. Under Federal law, 18 U.S.C. § 1154(a), the sale of "malt...liquor, including beer"

is prohibited in Indian Country. Title 18 U.S.C. § 1161 lifts this prohibition if the transaction is in conformity with both State laws and tribal ordinances. *See Rice v. Rehner*, 463 U.S. 713, (1903) (Congress authorized state regulation over Indian liquor transactions by enacting Section 1161 and that Congress intended that state laws would apply of their own force to govern tribal liquor transactions).

In 1959, Oklahoma amended its constitution, eliminating the state prohibition on "intoxicating liquors." Okla. Const. art. 27, § 11 (1959) (repealed 1904). The Oklahoma Constitution now provides that "[t]he Legislature shall enact laws providing for the strict regulation, control, licensing, and taxation of the manufacture, sales distribution, possession, and transportation of alcoholic beverages..." Okla. Const. art. 28, § 3. "The Oklahoma legislature has since enacted the Alcoholic Beverage Laws Enforcement Act, Okla. Stat. Ann. tit. 37, §§ 501-599 (West 1990 & Supp. 1992), regulating the sale and distribution of statutorily defined "intoxicating" beverages. Under this act, the licensing and regulation of "intoxicating" beverage sales are under the authority of the Oklahoma Alcoholic Beverage Laws Enforcement Commission, *see Id.* § 514, while the licensing, regulating and taxing of "nonintoxicating" beverage sales, including 3.2% beer remain with the Tax Commission." *Citizen Band Potawatomi v. Oklahoma Tax Commission*, Nos. 91-6312 & 91-6312, 1992 U.S.App. LEXIS 22870 (10th Cir. September 21, 1992).

While the Alcoholic Beverage Laws Enforcement Commission is responsible for the licensing and regulation of "intoxicating" beverage sales, the Tax Commission maintains responsibility for the collection of state excise taxes on such beverages, *see Okla. Stat. Ann. tit. 37, §§ 542-543, 545-546, 553* (West 1990), and for issuing distributor and wholesaler permits to aid in the collection of such taxes. *Id.* §§ 543.1-543.2.

At the time this issue was briefed by the parties, they did not have the benefit of a recent Tenth Circuit opinion, *Citizen Band potawatomi*, *supra*, holding that Oklahoma has a substantial interest in regulating 3.2% beer, notwithstanding its statutory definition as a "nonintoxicating" beverage. More importantly, the court held that the Tribe lacked sovereign immunity in the regulation of liquor. In light of these findings the court construes both federal and state statutory law to allow the imposition of a tax on beer sold by the Tribe, there being no discriminatory effect to disallow an exemption on sales to tribal members.

Motor Fuel Tax

The Tribe purchases motor fuel and other petroleum for use and sale on tribal lands. Motor fuel taxes are similar to beer taxes in that the motor fuel distributors are required to report and remit the tax on fuel sold to retailers. The retailer's wholesale price will include the motor fuel taxes which are in turn included in the retail price at the pump. Okla. Stat. tit. 68, §§ 505, 506, (1990). It is the position of the Tribe that this is a direct tax to the tribe, and further, the scheme does not allow for exemptions to tribal members. The Commission states that exemptions have been previously granted to Indian tribes for motor fuel purchased for use in tribally owned vehicles used for tribal government purposes only and not for resale. The Commission argues, however, that in the instant case of first impression, the Tribe attempts to avoid payment of taxes on all motor fuel it purchases for resale.

Although Indian tribes retain attributes of sovereignty over both their members and their territory, this is not to say that the laws of a State can have no force within reservation boundaries. *See White Mountain Apache Tribe v. Bracker*, 448 U.S. 136 (1980). "As a result, there is no rigid rule by which to resolve the question whether a particular state law

may be applied to an Indian reservation or to tribal members." *Id.*

In *McClanahan v. Arizona State Tax Commission*, 411 U.S. 164 (1973), the Supreme Court found two independent barriers to application of State law on Indian Country. First, the exercise of such authority may be preempted by federal law. Second, it may unlawfully infringe, "on the right of reservation Indians to make their own laws and be ruled by them." *Id.* Federal law does not preempt the state motor fuel tax scheme. Therefore, the Tribe must show that the motor fuel tax infringes on the right of tribal self-government.

The principal of tribal self-government, grounded on notions of inherent sovereignty, and in congressional policies, seeks an accommodation between the interests of the Tribes and the Federal Government, on the one hand, and those of the State, on the other. *Washington v. Confederated Tribes of Colville*, 447 U.S. 134 (1980). In *Colville* the Court entered a balancing approach to determine whether State cigarette taxes were applicable to cigarette sales on the Colville Reservation. The Court stated:

While the Tribes do have an interest in raising revenues for essential governmental programs, that interest is strongest when the revenues are derived from value generated on the reservation by activities involving the Tribes and when the taxpayer is the recipient of tribal services. The State also has a legitimate governmental interest in raising revenues, and that interest is likewise strongest when the tax is directed at the off-reservation value and when the taxpayer is the recipient of state services.

In Oklahoma the gasoline transported onto Indian Country is for resale only and is used almost exclusively off of Indian Country on State jurisdiction roads. Exemptions are available to Indian tribes for motor fuel purchased for use in tribally owned vehicles used for tribal government purposes.

The Court in *Colville* noted, "We do not believe that principles of federal Indian law, whether stated in terms of pre-exemption, tribal self-government, or otherwise, authorize Indian tribes thus to market an exemption from state taxation to persons who would normally do their business elsewhere."

Further, the Tribe does not construct or maintain roads and highways for the use of the general public in Oklahoma. The State of Oklahoma constructs and maintains 111,412.76 miles of streets, roads and highways in Oklahoma which is funded by the state tax on motor fuel. All of the road mileage maintained by the state is off Indian Country. Therefore, the gasoline tax used to maintain these roads is directed at off-reservation value where the taxpayer is receiving State services, whether the taxpayer is a tribal member or not.

"Congress has passed laws under which Indians have become full-fledged citizens of the State of Oklahoma. Oklahoma supplies for them and their children schools, roads, courts, police protection and all the other benefits of an ordered society. Citizens of Oklahoma must pay for these benefits. If some pay less, others must pay more... Only the same duties are exacted as from our own citizens. The burden must rest somewhere. Revenue is indispensable to meet the public necessities. Is it unreasonable that this small portion of it shall rest upon these Indians?" *Oklahoma Tax Commission v. United States*, 319 U.S. 598 (1943) (citations omitted). In this context, the patrons of tribal gas stations are properly subject to the State's motor fuel taxes.

Sales Tax

The Tribe is exempt from sales taxes on items it purchases for its own governmental use. However, it is the Contention of the Commission that when the Tribe purchases inventory for resale at the tribal store, the Tribe is not exempt from collecting the sales tax and remitting it to the State. The Tribe argues that the imposition of the sales tax on tribal members on tribal lands is not authorized by law, and further

refuses to collect said taxes. See *Oklahoma Tax Commission v. Citizen Band Potawatomi Indian Tribe*, 111 S.Ct. 905 (1991); *Citizen Band Potawatomi Indian Tribe v. Oklahoma Tax Commission*, 969 F.2d 943 (10th Cir. July 14, 1992).

The Oklahoma Sales Tax, similar in nature to the motor fuel tax, is to paid out pursuant to the direct appropriation by the Legislature for the good of the citizens of Oklahoma. Okla. Stat. tit. 68, § 1353 (1990). The rationale discussed in relation to the motor fuel tax is appropriately applied to the sales tax which is imposed upon tribal members and non-Indians alike. The burden of paying for the many services provided by the State and enjoyed by all its citizens must be borne equally between tribal members and non-Indians alike.

Income Tax

The final issue concerning the application of Oklahoma's Income tax law has been decided by the Tenth Circuit in *Sac and Fox Nation v. Oklahoma Tax Commission*, 967 F.2d 1425 (10th Cir. June 16, 1992). Therefore, this issue is moot.

ACCORDINGLY, the court find that Defendants' Motion for Summary Judgment should be granted and Plaintiff's Motion for Summary Judgment should be denied.

IT IS SO ORDERED this 30th day of September, 1992.

FRANK H. SEAY
UNITED STATES DISTRICT JUDGE

APPENDIX C

Article IV of the Treaty With the Choctaw of Sept. 27, 1830, provides:

The Government and people of the United States are hereby obliged to secure to the said Choctaw Nation of Red People the jurisdiction and government of all the persons and property that may be within their limits west, so that no Territory or State shall ever have a right to pass laws for the government of the Choctaw Nation of Red People and their descendants; and that no part of the land granted them shall ever be embraced in any Territory or State; but the U.S. shall forever secure said Choctaw Nation from, and against, all laws except such as from time to time may be enacted in their own National Councils, not inconsistent with the Constitution, Treaties, and Laws of the United States; and except such as may, and which have been enacted by Congress, to the extent that Congress under the Constitution are required to exercise a legislation over Indian Affairs.

Okla. Stat., Tit. 68, § 501C provides in relevant part:

Nothing in this section shall require a distributor, dealer or retailer to collect taxes levied by this act or remit taxes to the state on diesel fuel used exclusively for purposes other than to propel motor vehicles over the public highways of this state as provided in Section 509 of this title.

Okla. Stat., Tit. 68, § 505C provides:

Every distributor, at the time of making the monthly reports required by this section, shall remit to the Tax Commission the amount of tax due.

It shall be unlawful for any distributor, retailer or dealer to sell or offer for sale in this state, motor fuel or diesel fuel while delinquent in the payment of any excise tax due the state.

Motor fuel taxes remitted by a distributor on behalf of a licensed retailer of the distributor or collected on behalf of a nonlicensed purchaser of motor fuel that are subsequently determined to be uncollectible by the distributor may be credited against subsequent motor fuel tax liability imposed by law upon such distributor. For purposes of this subsection, motor fuel taxes collected on behalf of a licensed retailer of the distributor or collected on behalf of a nonlicensed purchaser shall be deemed uncollectible if such taxes are deducted for purposes of calculating the federal income tax liability of the distributor. The method for crediting uncollectible motor fuel taxes as provided by this subsection shall be prescribed in rules and regulations of the Oklahoma Tax Commission.

Okla. Stat., Tit. 68, § 509(b) provides in relevant part:

Every person actually engaged in farming in Oklahoma or in a state which borders the State of Oklahoma and buying motor fuel to be used as fuel for farm tractors or stationary engines owned or leased and operated by him and used exclusively for agricultural purposes, who has obtained an agricultural exemption permit, as provided in this article, may purchase such motor fuel without paying the tax levied by Section 502 of this title and one-half cent (\$0.005) per gallon of the tax levied by Section 516 of this title.

Okla. Stat., Tit. 68, § 509.2 (Supp. 1994) provides in relevant part:

A. The tax levied by this act shall not apply to diesel fuel used exclusively for purposes other than to operate motor vehicles on the public highways of this state. Provided that distributors shall execute on monthly reports, certification that the purchasers represented to the seller that the diesel fuel was to be used exclusively for purposes other than to operate motor vehicles on the public highways.

C. Any person who places diesel fuel that was purchased under an exemption permit authorized by this section into the fuel tank of a motor vehicle for use in operating the motor vehicle on the public highways shall be liable for the taxes levied under Sections 502.1, 502.3, 502.5, 502.7 and 522.1 of this title. Further, the permit issued shall be subject to cancellation and if so canceled shall not be reissued for a period of at least one (1) year. Such person shall also be guilty of a misdemeanor and shall, upon conviction, be fined not more than One Thousand Dollars (\$1,000.00), or shall be sentenced to a term of not more than one (1) year in the county jail.

* * *

E. The tax levied by Sections 502.1 and 522.1 of this title shall not apply to diesel fuel used exclusively in passenger motor buses or coaches, having a seating capacity of ten or more persons, when such fuel is purchased by and used exclusively in public transit systems operated by any county, city or town of this state, or by any public trust created under the laws of this state of which a county, city or town of this state is the sole beneficiary thereof. Provided this exemption shall be allowed only when supported by a certificate executed by such city or trust on forms prescribed and furnished by the Oklahoma Tax Commission.

F. The tax levied by Sections 502.1 and 522.1 of this title shall not apply to diesel fuel purchased by any county, city or town for use as fuel to propel motor vehicles on the public roads and highways of this state, when said vehicles are being operated for the sole benefit of said county, city or town; provided that if the diesel fuel is placed directly into the fuel supply tank or tanks of the motor vehicle by the supplier, certification must be made on the invoice and all such sales must be reported by the supplier on forms furnished by the Oklahoma Tax Commission.

Okl. Stat., Tit. 68, § 527 provides:

A. Gasoline, diesel fuel or special fuels used solely and exclusively in district-owned public school vehicles or FFA and 4-H Club trucks for the purpose of legally transporting public school children shall be exempt from all state taxes; and gasoline, diesel fuel or special fuels purchased by any school district for use exclusively in school buses leased or hired for the purpose of legally transporting public school children, or in the operation of vehicles used in driver training, shall also be exempt from all state taxes.

B. Gasoline, diesel fuel or special fuels used solely and exclusively as fuel to propel motor vehicles on the public roads and highways of this state, when leased or owned and being operated for the sole benefit of a county, city, town, or a volunteer fire department with a state certification and rating, shall be exempt from all state taxes levied by this title. Provided, if the gasoline, diesel fuel or special fuels are placed directly into the fuel supply tank or tanks of the motor vehicles by the supplier, certification must be made on the invoice and all such sales must be reported by the supplier on forms provided by the Oklahoma Tax Commission.

